WS Global CIO Office
16 October 2026

Weekly Market View

Staying defensive and diversified

➔ We turned defensive towards equities two weeks ago. Since then, the Nasdaq-100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields, tightening financial conditions

➔ We have extended our defensive stance this week, closing our opportunistic bullish Communication Services idea and initiating a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive.

➔ In fixed income, we see opportunities in the US 10-year government bond. We await clearer AI profit margin and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

What are the takeaways from US bank earnings? Are you still positive on Japan banks?

How does the September US inflation report impact your USD and bond views?

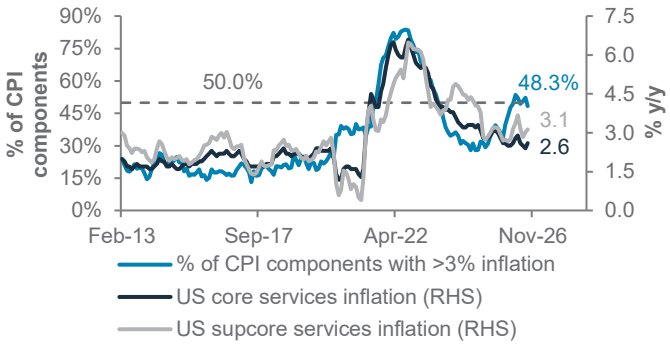
Can Big Tech earnings guidance sustain confidence in the AI investment cycle?

Important disclosures can be found in the Disclosures Appendix.

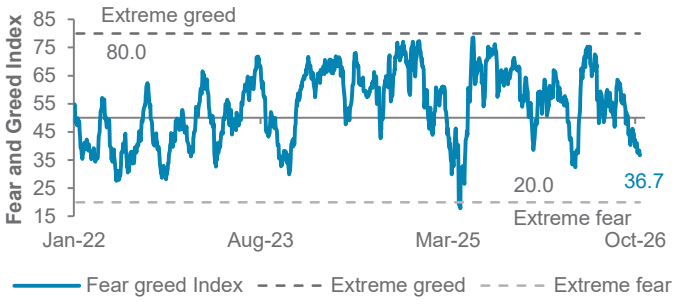
Charts of the week: No capitulation

A hotter-than-expected US inflation report triggered a pullback in risk assets, but there are few signs of capitulation so far

US core and supercore inflation; US inflation breadth*



Our 'Fear and Greed' indicator



Source: Bloomberg, Standard Chartered; *share of US consumer inflation components rising more than 3%

Editorial

Staying defensive and diversified

Strategy summary: Two weeks ago, we turned defensive towards equities, locking in semiconductor equity gains amid elevated bond volatility, narrowing market breadth and political uncertainty before the US mid-term elections. The near-term outlook reflected a less favourable risk-reward balance. Since we turned defensive, the Nasdaq 100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields.

We have extended our defensive stance this week, downgrading US Communication Services equities to Neutral and upgrading US Healthcare to Overweight. We also closed our opportunistic bullish Communication Services idea and initiated a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive. In fixed income, we see opportunities in US 10-year government bonds. We await clearer AI profit margins and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

Hot US inflation triggers equity pullback; not hot enough for an October Fed hike: Risk assets pulled back after September's hotter-than-expected inflation data (headline 3.7% y/y; core 2.6% y/y). Higher gasoline and diesel prices were the main drivers, but passthrough appeared in airline fares, used cars and transportation services, showing pressures were not confined to energy. Almost half of inflation components are still rising above 3%, a measure recently cited by Fed Chair Warsh. Producer inflation also beat estimates. The reports revive the possibility of an October Fed rate hike, but we expect a divided Fed to weigh it against September's soft jobs report and narrowly hold this month. A December hike appears more likely if inflation remains firm. Although Fed Chair Warsh did not comment on policy at an IMF speech this week, New York Fed chief Williams said he saw no need to hike in 2027. Our base case remains two further hikes by June 2027.

Limited equity pullback so far. Equities fell sharply after the US inflation report, but the pullback is limited. The Nasdaq 100 is 4.5% below its record high, while the S&P 500 remains close to all-time highs despite the latest decline. The S&P 500 volatility index (VIX) has risen from below 15 to 18.2, still well under the 25–30 range typically associated with capitulation and forced selling. Meanwhile, US government bond volatility (MOVE) remains elevated after surging since September. Our stock-bond quant model turned more negative (-2) this week, signalling elevated equity volatility in the near term.

When to turn more constructive on stocks? We would turn more constructive when capitulation signals align: the Nasdaq 100 approaches a 10% drawdown, the VIX rises to 25–30 and our 'Fear and Greed' index enters "extreme fear". Greater confidence would also require easing concerns about AI spending and technology firms' exposure to neocloud revenue, lower bond volatility and our stock-bond model turning positive again. Until these conditions emerge, volatility may remain elevated, favouring a defensive equity stance. Political risk should ease after the US mid-term elections. We continue to seek selective opportunities following excessive corrections.

US financials remain a preferred sector after Q3 earnings: US large banks' earnings were mixed, but underlying trends remain encouraging. Healthy loan and deposit growth supports net interest income, while resilient consumer spending, wealth management activity and a solid M&A and refinancing pipeline strengthen the outlook. Credit risks appear manageable. We remain constructive and favour stronger, diversified franchises.

US government bonds offer value as yields spike: The reversal in US government bond yields after their initial inflation-driven spike suggests limited further upside. The 10-year yield briefly reached 5.32% before slumping as falling equities prompted short-covering. We expect a near-term 5.00–5.25% range and view moves above 5.25% as attractive entry points for our opportunistic 10-year government bond idea. Structural pressures, including term premium and increasing supply to fund fiscal deficits and AI investments, prevent us from turning outright bullish on longer maturities. We, therefore, continue to prefer 3–7-year maturities in broader bond allocations.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

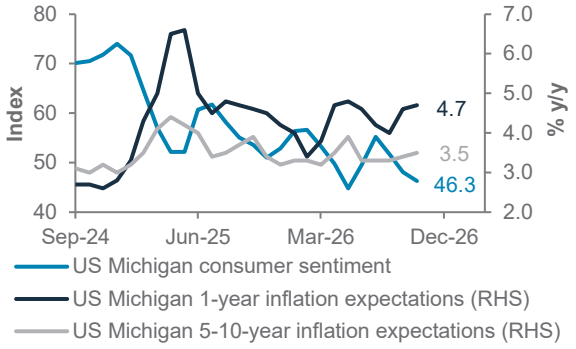
(+) factors: Strong China exports, ramped up fiscal supports

(-) factors: Higher-than-expected US inflation and weak US sentiment; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US existing home sales rose unexpectedly to 3.99mn in September • China exports grew 36.3% y/y in September, above estimates	• US headline and core consumer and producer prices rose more than expected in September • US Michigan consumer sentiment fell in October, with rising 1-year and 5-year inflation expectations • US core retail sales slowed and controlled group sales missed estimates in Sep • China consumer price inflation rose by 0.9% y/y in Sep, missing estimates
	Our assessment: Negative – Strong China exports vs. higher-than-expected US inflation and weak US sentiment	
Policy developments	• Fed's Williams said no need for another hike in 2027 after one more hike this year. Waller said inflation expectations are well anchored • Fed's latest Beige Book saw most districts reporting growth • China increased fiscal spending to support its GDP growth target	• The Fed's Hammack said the Fed should move "relatively quickly" to a restrictive monetary policy • ECB's Wunsch said the ECB will likely need to raise interest rates further as inflation approaches 4% • RBA meeting minutes struck a hawkish tone on the outlook for monetary policy
	Our assessment: Neutral – China fiscal policies, divergent Fed views	
Other developments	• EU and China reached a deal to cut Chinese hybrid car exports to Europe by more than half	• Houthis ramped up strike against Saudi cities and Aramco complex with missile and drone attacks • Ukraine will keep its strikes unless Russia agrees to energy ceasefire
	Our assessment: Negative – Intensifying geopolitical tensions	

US Michigan consumer sentiment index fell to 46.3 as high prices and borrowing costs continue to weigh on households

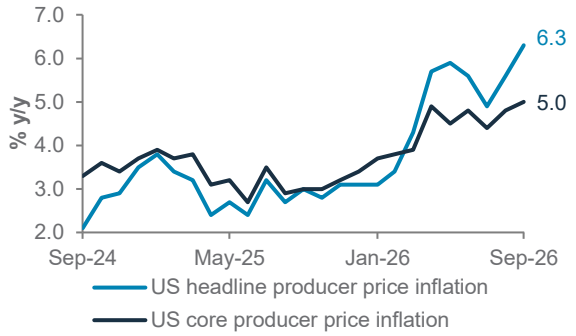
US Michigan consumer sentiment, 1-year and 5-10-year inflation expectations



Source: Bloomberg, Standard Chartered

US headline producer price inflation rose to 6.3% y/y, beating estimates and marking its second-highest level since November 2022

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China consumer price inflation missed consensus estimates, while producer prices rose at the fastest pace since June 2022 due to fuel costs

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

How does the September 2026 US Consumer Price Index (CPI) report alter your view on the USD and bond yields?

Our view: The hotter-than-expected CPI print raises the odds of an October Fed hike, though we still expect a hold followed by a rate hike in December. In the near term, we maintain our view that the US 10-year government bond yield will range between 5.00% and 5.25%, while the USD will remain supported as markets reassess the likelihood of further Fed hikes. Additional gains would depend partly on markets pricing a faster or more prolonged tightening cycle, while clearer signs of an approaching policy rate peak could see the USD ease back.

Rationale: September US consumer inflation came in above consensus across the board – **headline CPI** rose 3.7% y/y (vs. 3.6% estimate), and **core CPI** rose 2.6% y/y (vs. 2.5% estimate) – marking the fastest headline acceleration in five months. This shifts the balance of risks **modestly hawkish**. Unsurprisingly, the market-implied probability of an October Fed hike rose over 50% overnight but closed the day at 32.7% – 9ppt higher than Tuesday's close.

We believe a split Fed will weigh this inflation report against the soft September jobs report and narrowly vote to keep **rates on hold this month**. Our base case remains for **two more Fed hikes by June 2027**. A December rate hike now looks more like a done deal, especially as persistently higher oil prices keep headline and core inflation elevated for at least the next few months. Any re-escalation of the Middle East conflict after the **US mid-term elections** would exert pressure on the Fed, although we believe Republicans would show greater restraint in US foreign action if they suffer steep Senate losses, which looks increasingly likely.

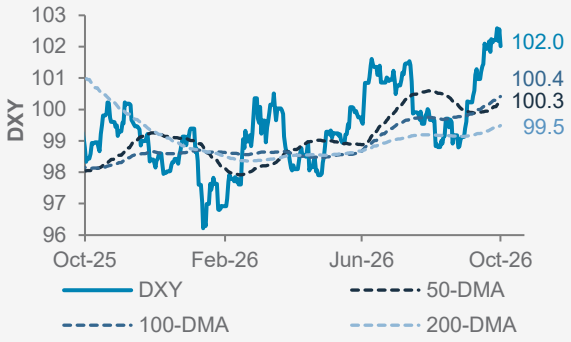
The intra-day price action in US government bonds was instructive. **The US 10-year yield briefly spiked to 5.32% on the print** before closing materially lower, as pre-existing bearish positioning was unwound and Fed speakers (Barkin, Goolsbee) stopped well short of signalling an imminent move. This dynamic reinforces our view that the **technical selling pressure** driving yields towards the upper end of our range is fading. Structural drivers – term premium, fiscal supply concerns and 'higher for longer' Fed repricing – remain intact and keep us from turning outright bullish on duration. However, our opportunistic bullish idea in US 10-year government bonds initiated at September-end remains, as we continue to view spikes in US 10-year yields over 5.25% as a **good risk-reward entry**. From a longer-term portfolio standpoint, we continue to favour the 3-7-year tenor.

On FX, elevated US government bond yields should sustain the USD's **interest rate appeal**. However, expected hikes alone will not drive further appreciation. Stronger data or firmer Fed guidance would provide fresh support, while evidence that tightening is nearing completion would temper the USD's strength.

— **Vincent Tan**, *Senior Investment Strategist*
— **Ray Heung**, *Senior Investment Strategist*

The US Dollar Index (DXY) is likely to stay rangebound between 102 and 103, supported by elevated US government bond yields

The DXY and technicals



Source: Bloomberg, Standard Chartered

The US 10-year government bond yield spiked initially after the US CPI print, but closed the day lower. We expect the US 10-year yield to stay rangebound within 5.00-5.25% in the near term

US 10-year government bond yield



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are your key takeaways from US bank earnings?

Our view: Q3 2026 earnings results from major US banks have been mixed, but underlying trends remain encouraging. Healthy loan and deposit growth, resilient consumer spending and wealth management activity continue to support the sector. Credit risks remain manageable. We remain constructive on the US financial sector, favouring stronger, diversified franchises.

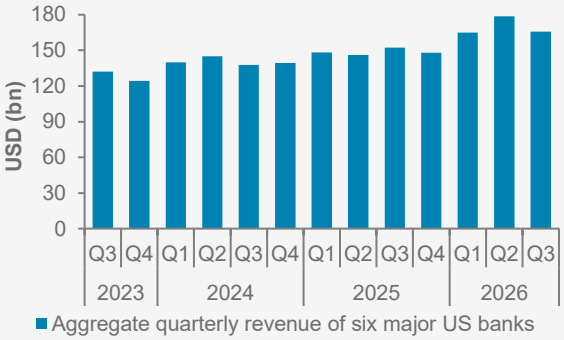
Rationale: Healthy loan and deposit growth continue to support net interest income (NII), hinting that the US economy remains resilient. Capital markets revenue grew year-on-year (y/y), but moderated sequentially after a very strong Q2 2026, although performance varied across banks. Management commentary points to **a healthy deal pipeline**, supported by M&A activity and debt refinancing demand, although execution will depend on market conditions.

Provisioning and net charge-off trends were mixed across banks, with **no clear signs of broad deterioration in credit quality**. Firmer US inflation raises the risk of further monetary tightening. While higher rates can support asset yields, they can also **increase funding costs, pressure borrowers and weigh on securities' valuations**. We will continue to monitor lending demand, credit costs, NII trends, capital markets momentum and capital returns.

— **Robin Xie,** *Senior Investment Strategist*

US banks' revenues remain resilient despite moderation from a record-high Q2 2026

Aggregate quarterly revenue (USD bn) of six major US banks



Source: Bloomberg, Standard Chartered

Can Big Tech's earnings guidance sustain confidence in the AI investment cycle?

Our view: We expect Big Tech's AI spending to remain elevated, supporting our constructive AI capex outlook. However, we await guidance on the pace of capex growth and the sustainability of profit margins.

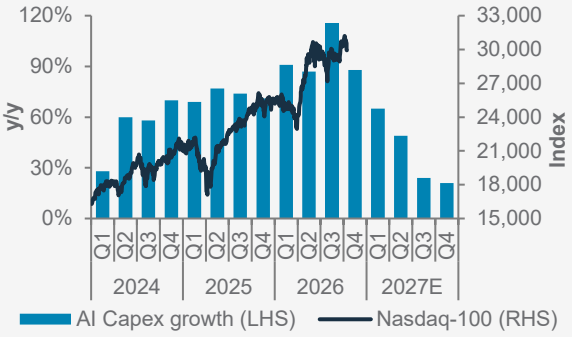
Rationale: Semiconductor leaders' latest company guidance points to supply constraints extending through 2028, supporting **continued capacity expansion for compute**. However, while AI capex is still likely to rise, **y/y growth is expected to moderate** from c.100% in Q3 2026 to c.20% in Q3 2027. This normalisation in growth could raise concerns about the AI investment cycle's durability.

The **Nasdaq-100 Index** has rallied alongside accelerating AI capex. Slower capex growth is likely to moderate semiconductor revenue growth, while **hyperscalers** continue to incur depreciation costs on past investments. The slower growth is already partially reflected in the Nasdaq-100's valuation de-rating this year. **While we remain constructive on the AI investment theme, we prefer to stay prudent in the near term** and await Big Tech's guidance for greater visibility into spending plans in H2 2027 and beyond.

— **Ryan Goh**, *Investment Strategist*

AI capital expenditure (capex) growth is expected to moderate to around 20% in Q3 2027

AI capex growth (y/y) vs. the Nasdaq-100 Index



Source: FactSet, Bloomberg, Standard Chartered

Top client questions (cont'd)

Would France face a credit rating downgrade by rating agencies this month? What might be the market implications?

Our view: A rating downgrade is unlikely unless France's 2027 budget passes the National Assembly very soon with material changes to the proposal. We see French government bond yields remaining elevated relative to German Bund yields.

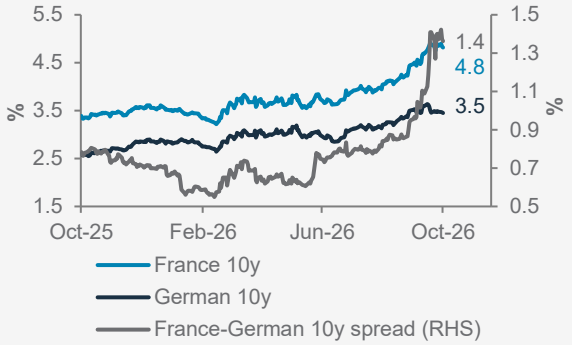
Rationale: The French National Assembly began debating France's 2027 draft budget on 13 October 2026, with the first vote scheduled for 20 October. **Near-term budget approval appears unlikely**, as opposition parties have tabled motions to reject the proposal. The French Parliament has up to 70 days from the budget's submission to complete the legislative process, although its final adoption and the resolution of political challenges could extend into early 2027.

Last October, two of the three major rating agencies downgraded France by one notch to the **high-single-A category** with stable outlooks. The remaining agency rated France in the **low-AA category** with a negative outlook. As negative outlooks are typically resolved within 12-18 months, agencies have time to await fiscal clarity before acting. We believe **downgrade risks** are largely priced in after the recent rise in yields, but volatility is likely to persist amid fiscal uncertainty and the approaching presidential election. Banks and domestically-focused issuers would face the greatest near-term pressure. However, we would view wider spreads as an **opportunity to add exposure, particularly to French banks' subordinated debt**, given their stronger balance sheets and the fact that France contributes less than 50% of major French banks' overall revenue.

— **Ray Heung,** *Senior Investment Strategist*

France's government bond yields remain elevated amid fiscal and political turmoil

France and Germany's 10Y government bond yields and the yield spread



Source: Bloomberg, Standard Chartered

Are you still positive on Japanese banks?

Our view: We are positive on Japanese banks despite the recent market correction, as the structural drivers of improving profitability and shareholder returns remain intact. While political risk and shifting BoJ rate hike odds could sustain near-term volatility, we see the recent pullback as an opportunity to build selective exposure to Japanese bank stocks.

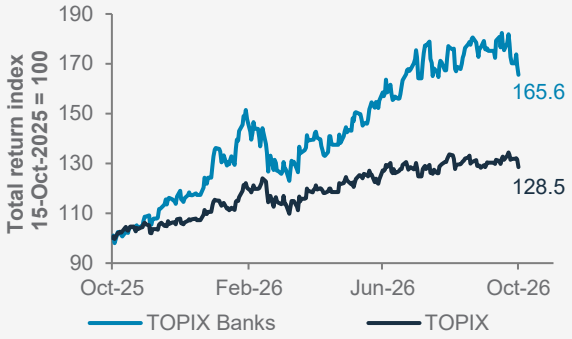
Rationale: Japan's **gradual monetary policy normalisation** should support banks' NII as floating-rate loans reprice and maturing assets are reinvested at higher yields. Healthy corporate lending demand, improving capital efficiency and continued share buybacks provide further support. While uncertainty over the pace of BoJ tightening could weigh on sentiment, we see gradual interest rate normalisation as **supportive of medium-term bank profitability**.

Key risks include rising deposit costs, mark-to-market losses on bond portfolios and a disorderly increase in Japanese government bond yields. We continue to favour **well-capitalised banks** with strong domestic deposit franchises and improving returns on equity.

— **Robin Xie,** *Senior Investment Strategist*

Japanese banks' longer-term outperformance puts recent volatility in perspective

TOPIX Banks vs. TOPIX performance (rebased to 100)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Could NZD/USD rebound from its one-year trough? If so, how far could it recover?

Our view: New Zealand's improving domestic conditions, persistent inflation and technical support provide a basis for NZD/USD's initial recovery towards the 0.57 level, although elevated US bond yields could slow its progress.

Rationale: In Q3, New Zealand's seasonally-adjusted business confidence reading rose to a net 40% of firms expecting the economy to improve, up from net 14% in Q2. Hiring intentions improved, and filled jobs rose 0.2% m/m in August. These developments suggest **domestic conditions remain supportive for the NZD**.

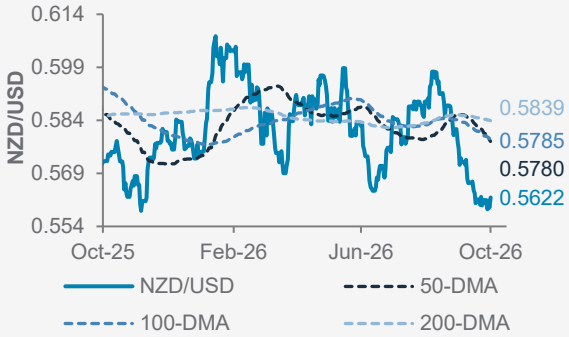
New Zealand's above-target inflation keeps further RBNZ tightening in focus. The 22 October **consumer inflation data release** and the 28 October **RBNZ policy meeting** are key catalysts: persistent price pressures and improving demand are expected to prompt firmer policy guidance and strengthen the NZD's interest-rate appeal.

NZD/USD's position near the lower boundary of its downtrend channel suggests **scope for a technical rebound**. We see 0.57 as the first recovery hurdle; a sustained break above this level would strengthen the case for further gains. Firmer US consumer inflation remains a headwind, making **a gradual recovery more plausible than a sharp reversal.**

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

NZD/USD is likely to rebound towards near-term resistance at 0.57

NZD/USD and technical indicators



Source: Bloomberg, Standard Chartered

Can the proposed Russia-Ukraine 'energy ceasefire' contain oil prices as Middle East risks rise?

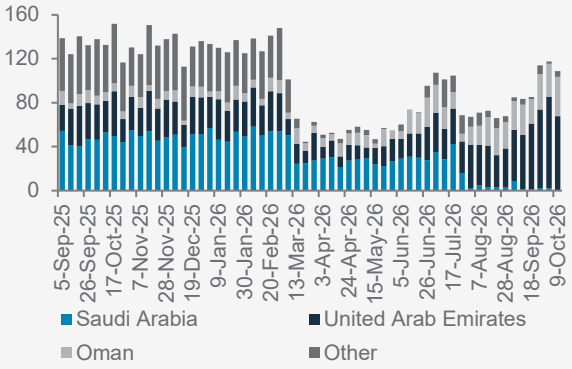
Our view: We expect escalating Middle East tensions to keep oil prices elevated. We maintain our three- and 12-month West Texas Intermediate (WTI) oil price forecasts at USD 100/bbl and USD 80/bbl, respectively, and continue to favour US Treasury Inflation-Protected Securities (TIPS) as a portfolio hedge against persistent inflation risks.

Rationale: The **proposed Russia-Ukraine 'energy ceasefire'** still looks some way off. In our view, even if an agreement is reached, it would do little to ease the supply risks building in the Middle East. **Gulf oil exports** have recovered to above 80% of pre-conflict levels in recent weeks, helping moderate the pace of price increases. However, the recovery remains vulnerable to disruptions, particularly following the latest Houthi attacks on Saudi energy infrastructure. **Diesel and jet fuel remain under the most pressure**, with Gulf exports of these fuels in September at only around 60% of pre-conflict levels. A sustained disruption to major Saudi production or export infrastructure remains the principal upside risk to oil prices.

— **Anthony Naab,** *Investment Strategist*

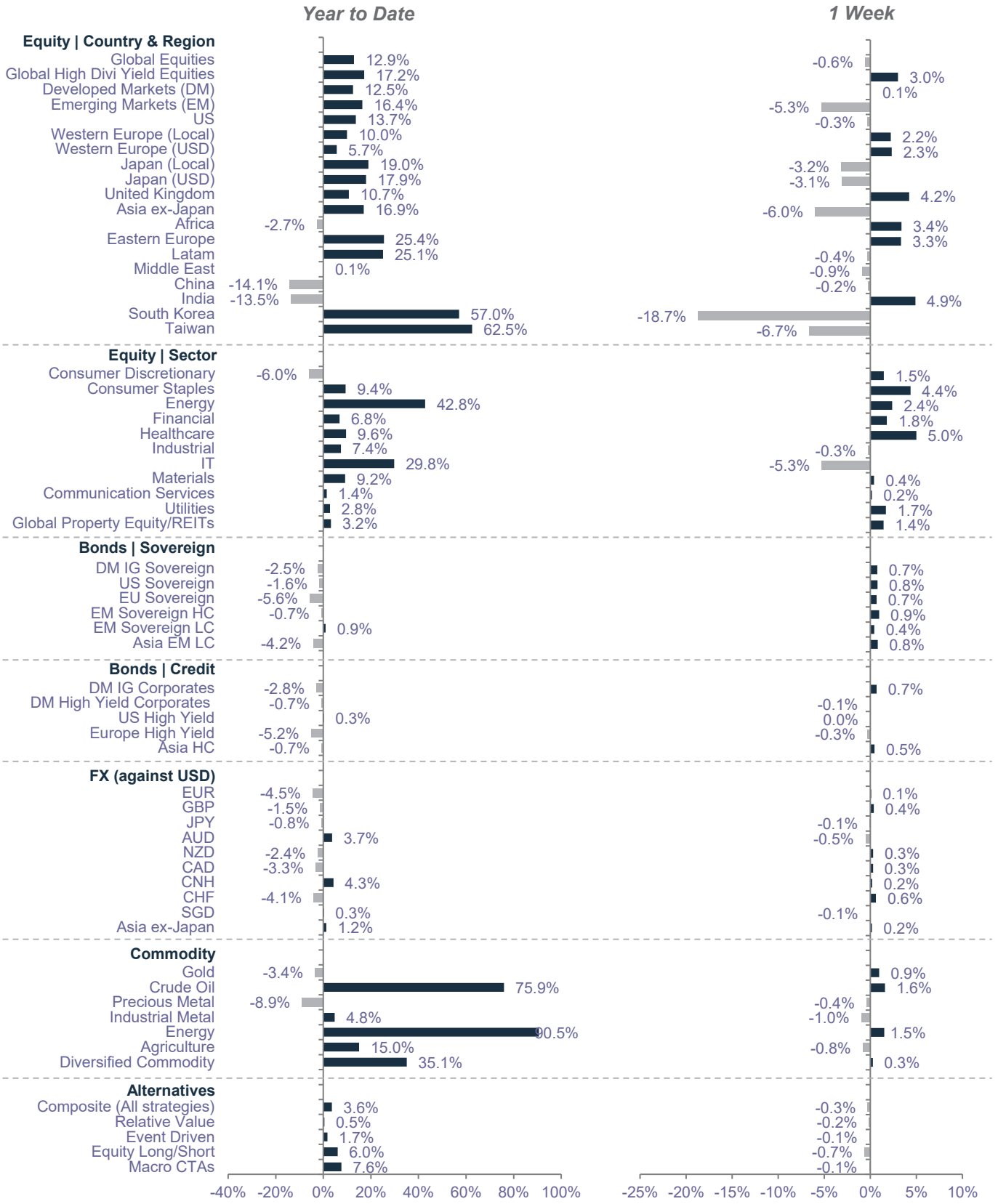
Robust Gulf oil exports are tempering oil price pressures, but supply risks should sustain a geopolitical risk premium

Weekly Gulf oil exports by source – September 2025 to date



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 15 October 2026; 1-week period: 8 October 2026 to 15 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
		China Financials	▲
Credit		China Communication	▲
Asia USD	◆	China Materials	▲
Corp DM HY	◆	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	GDP y/y	3Q	4.4%	4.3%
	CNH	Retail Sales y/y	Sep	0.5%	0.4%
	CNH	Industrial Production y/y	Sep	5.5%	5.2%
	CNH	Fixed Assets Ex Rural YTD y/y	Sep	-7.3%	-7.2%
	CNH	Property Investment YTD y/y	Sep	-20.0%	-19.9%
TUE	EUR	Germany ZEW Survey Expectations	Oct	–	34.7
	EUR	Germany ZEW Survey Current Situation	Oct	–	-47.1
	USD	Housing Starts	Sep	1300k	1275k
	USD	Building Permits	Sep P	1388k	1403k
WED	GBP	CPI y/y	Sep	–	3.1%
	GBP	CPI Core y/y	Sep	–	2.6%
THU	EUR	Consumer Confidence	Oct P	–	-16.5
	USD	Leading Index	Sep	–	-0.1%
FRI/SAT	EUR	S&P Global Eurozone Manufacturing PMI	Oct P	–	52.9
	EUR	S&P Global Eurozone Services PMI	Oct P	–	53.0
	USD	S&P Global US Manufacturing PMI	Oct P	–	55.9
	USD	S&P Global US Services PMI	Oct P	–	58.8

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,890

Technical indicators for key markets as of 15 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,744	7,553	7,890	18.9	1.2
STOXX 50	6,168	6,051	6,326	14.5	3.3
FTSE 100	10,840	10,516	11,017	12.4	3.6
TOPIX	3,999	3,917	4,142	15.6	2.4
Shanghai Comp	3,707	3,599	3,892	12.1	3.2
Hang Seng	24,063	23,449	24,966	10.0	3.6
Nifty 50	22,997	22,254	23,667	17.0	1.9
MSCI Asia ex-Japan	1,052	1,010	1,131	9.3	2.7
MSCI EM	1,608	1,551	1,712	9.2	3.0
Crude oil (WTI)	98.0	87.6	107.5	na	na
Gold	4,171	4,025	4,358	na	na
UST 10Y Yield	5.06	4.86	5.31	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 15 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.62
Global Equities	●	↑	1.85
Gold	●	↓	1.64
Equity			
MSCI US	●	→	1.62
MSCI Europe	●	↑	1.60
MSCI AC AXJ	●	→	1.65
Fixed Income			
DM Corp Bond	●	↓	1.58
DM High Yield	●	↓	1.51
EM USD	●	↓	1.53
EM Local	●	↑	1.71
Asia USD	●	↓	1.57
Currencies			
EUR/USD	◐	↓	1.42

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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Market views on-the-go

MVOG >

SC Wealth Insights

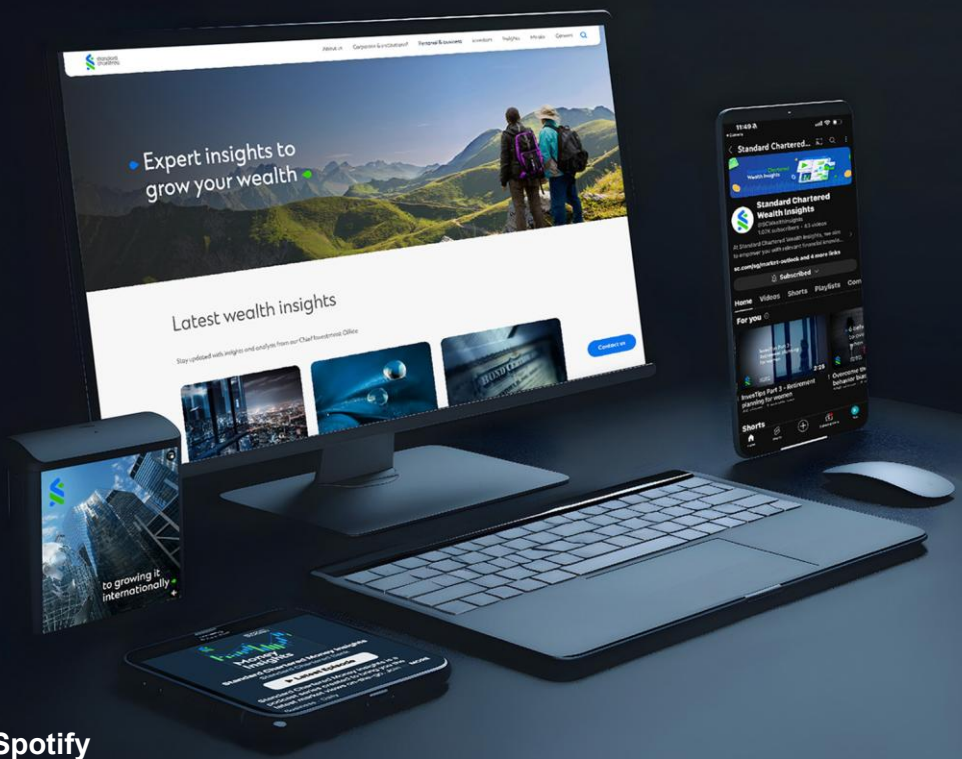
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WS Global CIO Office
9 October 2026

Weekly Market View

Will earnings resolve the bond-equity split?



➔ Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities.

➔ Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding back high-beta exposure within equities.

➔ Consensus estimates point to a 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term.

➔ In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

What are the market implications of France's political and fiscal uncertainty?

What is your outlook for the US Q3 earnings season?

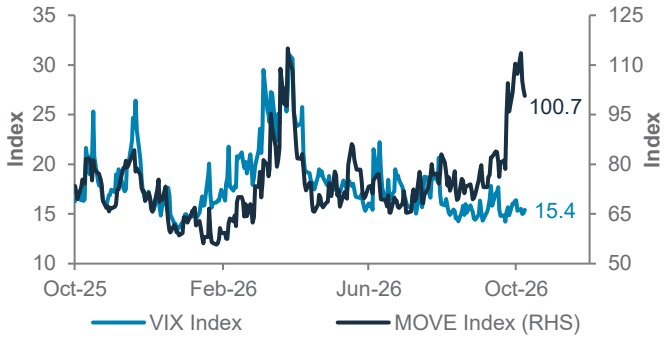
Do you see further upside for USD/JPY?

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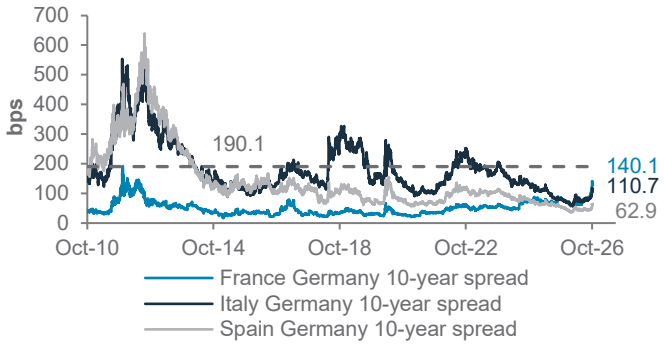
Charts of the week: Diverging volatility

Strong earnings should resolve the bond and equity market divergence; French political risks remain largely contained

S&P500 volatility index (VIX); US bond volatility index (MOVE)*



10-year government bond yield spreads over German bonds



Source: Bloomberg, Standard Chartered; *measures US government bond volatility

Editorial

Will earnings resolve the bond-equity split?

Strategy summary: Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities. Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding high-beta exposure within equities.

Consensus estimates point to a c. 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of c. 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term. In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

Divergence between equities and bonds. Equity markets signal calm, with the S&P500 index near record highs and its volatility index (VIX) low at 15, while the US government bond volatility index (MOVE) is close to its highest since March. Bond stress reflects two-decade-high long yields amid strong growth, oil close to USD 100/bbl fuelling near-term inflation, fiscal uncertainty and crowded investor short positioning vulnerable to abrupt unwinds. High bond volatility could spill into equities.

Our quantitative stock-bond model turns negative. For the first time since March 2025, the model score has turned negative, driven by deteriorating equity market breadth and above-average risk aversion. History shows global equity volatility rises most in the month after the score dips to -1. However, equities still outperformed bonds over the following 1-12 months, on average, despite higher market risk.

Taking some chips off the table; locking in gains: Rising bond volatility, the negative stock-bond model signal, weak equity breadth and approaching US mid-term elections warrant near-term caution. US small-caps remain about 9% below August's all-time highs even as large-caps reach new records. The macro uncertainty prompted us to lock in gains in semiconductor and Taiwan equity opportunistic ideas.

Strong Q3 earnings season likely to overcome near-term challenges. Strong US and Asian earnings should ultimately resolve the equity-bond divergence in favour of stocks. Consensus S&P500 Q3 earnings growth has risen to 30.6% y/y, while technology is tracking 66.5%, driven by the AI infrastructure buildout. AI investment plans, monetisation and funding needs are key metrics to watch. Record memory-chip profits and higher long-term targets from AI leaders support staying long technology-led risk assets and using near-term volatility to scale into preferred sectors. Also, US equities have historically performed strongly in the 12 months after mid-term elections, particularly when the opposition regains control of the House and the Senate – as seems increasingly likely.

Medium-term constructive on equities. Beyond Q3 earnings, we expect US earnings to rise 15-20% next year. Almost half of the estimated USD 420 per share of S&P500 earnings in 2027 should come from tech-related sectors: information technology, communication services and consumer discretionary. We also favour US, Europe and Japan financial sectors as solid growth and higher rates lift lending income, while the AI buildout boosts advisory fees from IPOs and M&As. However, another 30-50bps rise in long-term bond yields, without earnings growth upgrades, could be a headwind for equities. Next week's US inflation data for September is the next catalyst for bond yields.

French uncertainty challenges near-term EUR view; continue to see opportunities in Euro area bank equities. Rising French political and fiscal risks have largely remained confined to France, with its bond yield spread versus German peers surging to the widest since the 2011-12 Euro area crisis. Nevertheless, EUR/USD has fallen around 4% since mid-August, and our three-month forecast of 1.15 is under review. Tighter financial conditions and political uncertainty in France and Spain raises the risk of an ECB rate hold. Euro area bank equities remain attractive on profitability, capital strength and valuations, subject to sovereign-spread and funding-cost risks.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

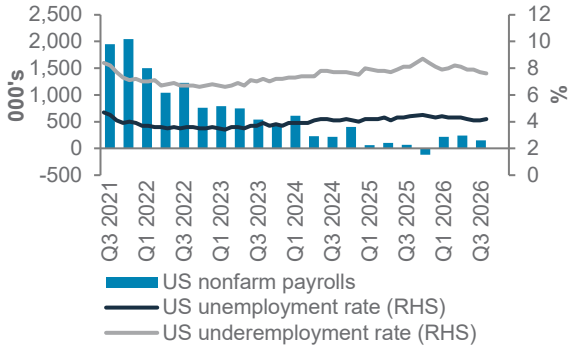
(+) factors: Cooling US payrolls eased Fed hike concerns

(-) factors: Re-accelerating Euro area inflation; France's fiscal crisis

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls rose 29,000 in September, significantly missing estimates and easing Fed hike expectations	• US ISM services PMI missed estimates in Sept • Euro area's September headline consumer inflation and August's headline producer price inflation rose unexpectedly • Euro area Sentix investor confidence fell more than expected to 2.7 in October • Euro area retail sales grew by 0.8% y/y in August, missing expectations
	Our assessment: Negative – Weaker-than-expected US services PMI, re-accelerating Euro area inflation	
Policy developments	• Fed's Bowman announced a major bank supervision overhaul that leans toward easing regulations • BoE survey data showed little evidence of second-round inflation effects from higher energy prices	• The Fed's September meeting minutes indicated most officials expect one more hike by year-end • RBI raised its policy rate by 25bps to 5.5%, delivering its first hike in four years
	Our assessment: Neutral – Potential US bank regulatory relaxation vs. Hawkish Fed minutes and an RBI rate hike	
Other developments		• Iran ramped up its strikes as energy flows approach pre-conflict levels • France's fiscal uncertainty led to weakening economic activity and surging French bond yield premia • EU planned import cap on Chinese hybrid vehicles; China warned EU that it has retaliatory measures
	Our assessment: Negative – Ongoing geopolitical tensions; France's fiscal crisis	

US non-farm payrolls came in below estimates in September and the unemployment rate rose, easing near-term Fed rate hike expectations

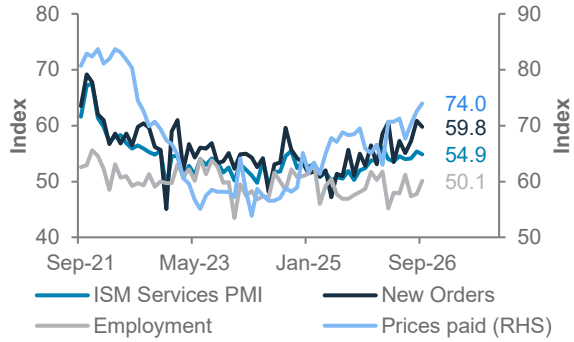
US non-farm payrolls (quarterly), unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

US ISM services PMI fell unexpectedly in September, with prices paid PMI for inputs rising to 74.0 and new orders PMI missing expectations

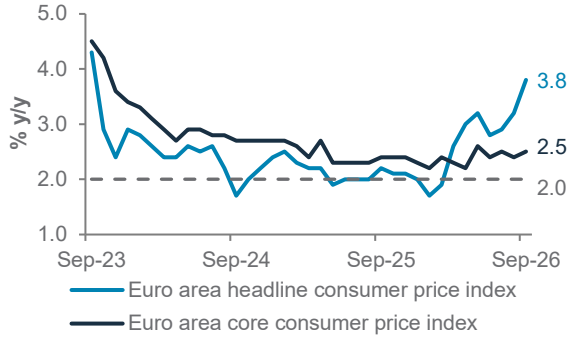
US services PMI and its components



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose to 3.8% in September, marking the fastest rate of inflation since September 2023

Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

What are the market implications of France's political and fiscal uncertainty?

Our view: France's political and fiscal uncertainty remain near-term headwinds for European assets. We are placing our three-month EUR/USD forecast (1.15) under review for a potential downward adjustment, while retaining our 12-month forecast at 1.18 as broader Euro area spillovers remain limited. Our base case remains one more ECB hike in December followed by a prolonged pause, although tighter financial conditions increase the risk of a delay. For equities, we retain Euro area banks as an Opportunistic idea, supported by strong profitability, capital buffers and reasonable valuations. For bank bonds, we prefer a subordinated capital structure to senior debt.

Rationale: France's 10-year government bond yield has risen amid **renewed political and fiscal concerns**. This has tightened financial conditions and added to the near-term EUR risk premium. Together with elevated US yields, **this raises downside risks to our three-month EUR/USD view**. However, the stress has not yet developed into broad Euro area contagion, and recent expectations of progress on France's 2027 budget have provided some relief. Broader Euro area growth and labour market fundamentals also remain relatively resilient, supporting our **unchanged 12-month EUR/USD view**.

For the ECB, higher sovereign yields are already delivering some monetary tightening. Markets have consequently pared expectations of additional ECB hikes. **We continue to expect one more hike in December**, given elevated near-term inflation, but persistent fiscal or political stress in France and Spain could delay further tightening.

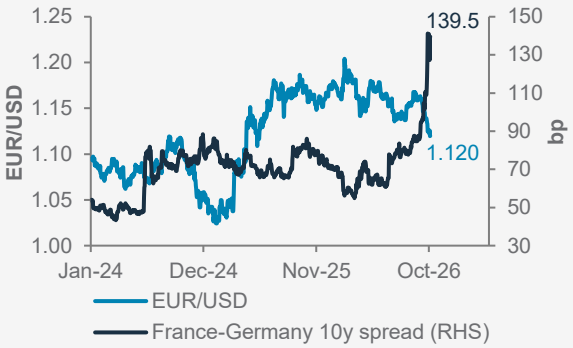
For Euro area banks, **wider sovereign spreads** are likely to raise funding costs and pressure bond portfolios, while fewer ECB hikes would moderate further gains in net interest income. Nevertheless, **profitability** remains strong, **capital buffers** are healthy and **price-to-book valuations** remain reasonable, with **returns on equity** also improving. We, therefore, **maintain Euro area banks as an Opportunistic idea**, while monitoring sovereign spreads, funding costs and any deterioration in loan-loss provisions.

On the bond side, European bank junior subordinated bond prices fell by an average of **3-5 cash points** before rebounding, with French bank subordinated bonds underperforming those of other European peers. As **fundamentals remain strong**, we view pullbacks as opportunities to add and maintain our preference for a subordinated capital structure over senior debt for European bank bonds.

— **Vincent Tan**, *Senior Investment Strategist*
— **Fook Hien Yap**, *Senior Investment Strategist*
Ray Heung, *Senior Investment Strategist*

France's fiscal concerns weigh on the EUR

EUR/USD vs. France-Germany 10Y government bond yield spread



Source: Bloomberg, Standard Chartered

We remain positive on Euro area banks – they outperformed global financials over the past year, but gave up some of their outperformance over the past month

Euro STOXX Banks and MSCI AC World Financials indices over the past year, rebased



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is the likelihood of elevated long-end government bond yields evolving into a systemic risk for the financial sector and public finances?

Our view: We believe systemic risk remains a tail risk rather than a base case in the near term. The probability would rise materially if rollover stress, foreign demand withdrawal and private credit deterioration occur in combination.

Rationale: Higher bond yields worsen fiscal deficits and drive higher issuance requirements, exerting further upward pressure on yields. The resulting tighter financial conditions weigh on economic growth. This feedback loop is most acute in Developed Markets (DMs) where debt burdens are already elevated. For instance, projected 2026 **debt-to-GDP ratios** stand at 204% for Japan, 138% for Italy, 126% for the US, 118% for France and 104% for the UK. Countries with shorter average debt maturities face the sharpest **near-term repricing risk** as maturing obligations are refinanced at current rates. Meanwhile, evidence suggests that **a positive equity-bond correlation increases the sensitivity of yields to bond supply**.

Taking the US as an example, there has been **no buyers' strike on US government bonds yet**, though foreign demand has softened, narrowing the margin of safety. The US government has shifted towards **shorter-dated issuance** to manage funding costs (reducing near-term expenses, but concentrating rollover risk). Economic resilience remains evident, underpinned by **corporate confidence in AI-driven investment**. The key question is whether this expansion can persist long enough to stabilise the fiscal trajectory.

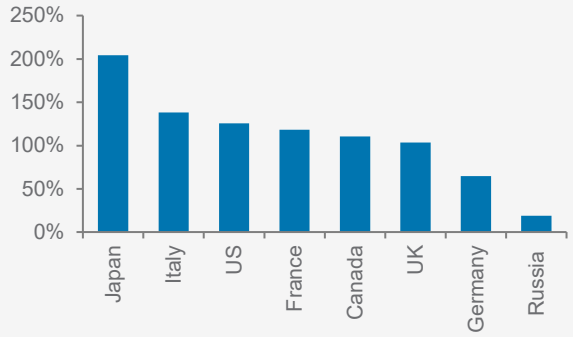
Within the financial sector, **corporate balance sheets remain strong**, while High-Yield (HY) bond and leveraged loan default rates remain contained, though this reflects the lag between rate rises and credit deterioration, not immunity. Following the failure of the Silicon Valley Bank, **liquidity discipline among banks has improved**, but duration mismatches persist.

In **private credit**, default rates are trending upward while the asset class has come under continued scrutiny, with negative headlines and a rise in redemptions triggering fund gating at some private credit managers since Q1 2026. Hence, continued monitoring of **default rates, redemptions and potential stress events** in private credit remains essential. That said, higher rates could buoy **medium-term returns** and **distribution yields** in the asset class, as the majority of direct lending loans have a floating-rate structure.

— **Ray Heung,** *Senior Investment Strategist*

Most G8 economies have government debt-to-GDP ratios exceeding 100%

Projected government debt-to-GDP ratios, 2026



Source: IMF, Standard Chartered

Top client questions (cont'd)

What is your outlook for the US Q3 2026 earnings season, especially for the banking sector?

Our view: We expect another quarter of robust US earnings growth to support our Overweight stance on US equities. We see major US banks, which begin reporting next week, also delivering healthy results, reinforcing our Overweight view on the US financial sector.

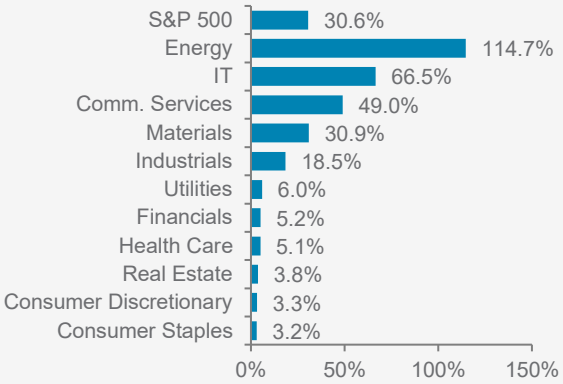
Rationale: Consensus forecasts **S&P500 Q3 earnings growth** of 30.6% y/y, up from 27.6% at the start of July. **Energy** is expected to post the strongest growth at 114.7%, supported by elevated oil prices amid ongoing geopolitical tensions. **Information technology** (66.5%) and **communication services** (49.0%) remain key earnings drivers, benefiting from sustained AI-related demand and investment. The broader outlook remains supportive, with **full-year earnings growth** projected at 35.8% in 2026 and 15.6% in 2027.

For banks, the recent underperformance amid concerns over higher long-term bond yields has, in our view, improved the forward-looking risk-reward profile. Over the medium term, **strengthening loan growth** and **resilient credit quality** should continue to support solid fundamentals. Capital markets activity also remains constructive, with industry leaders well-positioned to benefit from their strong investment banking and trading franchises.

— **Jason Wong,** *Senior Equity Analyst*

Strong US earnings continue to provide support for US equities, with S&P500 estimated earnings growth of 30.6% y/y in Q3 2026

Consensus Q3 earnings growth by sector in the S&P500 Index



Source: LSEG I/B/E/S, Standard Chartered

How could upcoming semiconductor manufacturing and equipment earnings reshape the AI capex outlook?

Our view: We maintain our AI capex outlook as robust demand and ongoing supply constraints support a multi-year expansion cycle. In the near term, however, we take a more prudent stance on semiconductors amid an expected rise in equity volatility.

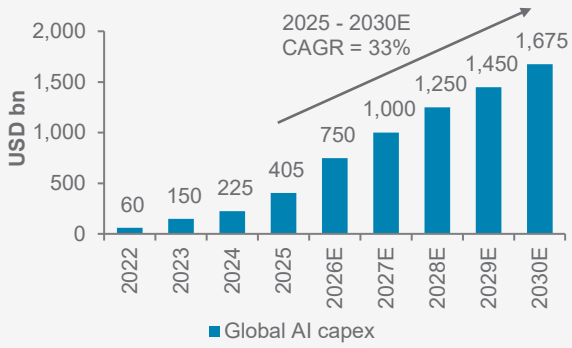
Rationale: Recent memory industry guidance points to **sustained investment in advanced chip manufacturing**, with customer commitments extending through 2031. Upcoming earnings should provide visibility into capacity expansion plans. This supports our AI capex outlook, which we will monitor through the earnings season.

That said, we expect **equity volatility to rise in the near term** amid elevated long-term yields and macroeconomic uncertainty. Recent media reports on AI lab revenues have also led to doubts over monetisation and the ability to sustain elevated capex spending. We thus took profit on our **Global Semiconductors** (8.1% return from 9-Sep-26 to 2-Oct-26) and **MSCI Taiwan** (10.0% return from 9-Jul-26 to 2-Oct-26) Opportunistic ideas following strong performance. This does not reflect a deterioration in fundamentals, but rather a need to be prudent on high-beta exposure. **We remain constructive on the AI theme over the long term.**

— **Ryan Goh**, *Investment Strategist*

The AI capital expenditure (capex) outlook remains firm, despite near-term market risks from macroeconomic headwinds

Global AI capex is projected to reach USD 1.7trn by 2030



Source: Company reports, Standard Chartered

Top client questions (cont'd)

USD/CHF has rebounded sharply over the past two months. What are the key factors behind the move, and do you see the currency pair continuing to move higher?

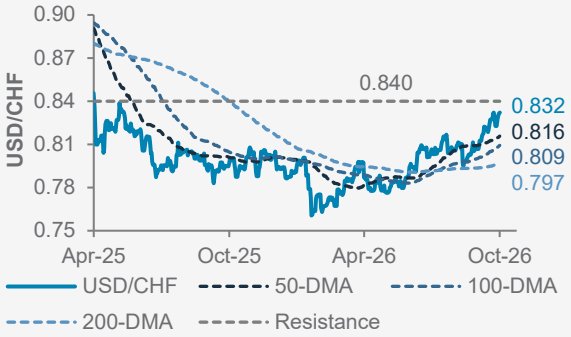
Our view: USD/CHF tested 0.84 amid strong momentum from the USD, but we see the pair remaining supported near-term before gradually moving lower towards 0.82 in three months.

Rationale: The Fed's relatively high policy rate continues to support USD carry demand, while the Swiss National Bank maintains its policy rate at 0%. In the near term, however, the Swiss franc (CHF) could benefit from **increased safe-haven demand amid mounting fiscal concerns in France and political uncertainty in Spain**, particularly if European risk premia continue to rise. Beyond these cyclical factors, Switzerland's substantial net foreign asset position, persistent current account surpluses and low public debt burden continue to underpin **the CHF's structural strength**. Over the medium term, **we expect the USD's rate advantage to gradually diminish** as the Fed approaches the end of its tightening cycle, while the CHF's defensive characteristics should remain supportive.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

USD/CHF gains driven by higher US bond yields are likely to be offset by CHF safe-haven demand

USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

Do you see further upside for USD/JPY after recent dovish comments from BoJ officials and latest bond auctions?

Our view: We see some near-term upside risk to USD/JPY from elevated US yields, but retain our medium-term constructive JPY view. USD/JPY remains below 159, suggesting markets are mindful of intervention risk as the pair approaches 160. We continue to expect further BoJ normalisation.

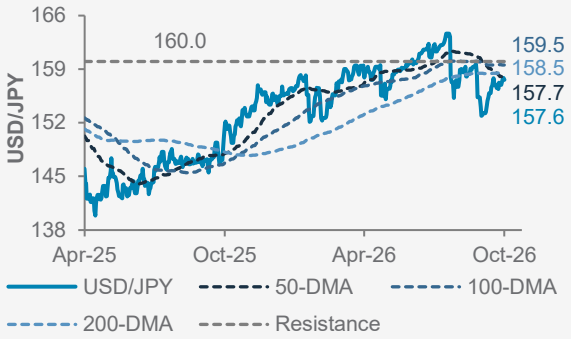
Rationale: Recent BoJ communication appears less dovish than the market narrative had suggested. BoJ Governor Ueda continues to emphasise **the need to anchor underlying inflation around 2%** and gradually reduce monetary accommodation, supporting our view that **the tightening cycle is not yet over**. An October pause would reflect a more measured pace of policy normalisation rather than a change in the BoJ's policy direction.

Recent **Japanese government bond (JGB) auctions** have shown resilient demand despite higher yields. At the latest 10-year JGB auction, **the bid-to-cover ratio improved** to 3.76x from 3.29x previously, while **the auction tail (spread between highest accepted yield and issued yield) narrowed** to 0.2bps from 1.6bps. We see this as indicative of an orderly, functioning market rather than a dovish BoJ signal. Intervention concerns around the 160 level should help limit near-term USD/JPY upside.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

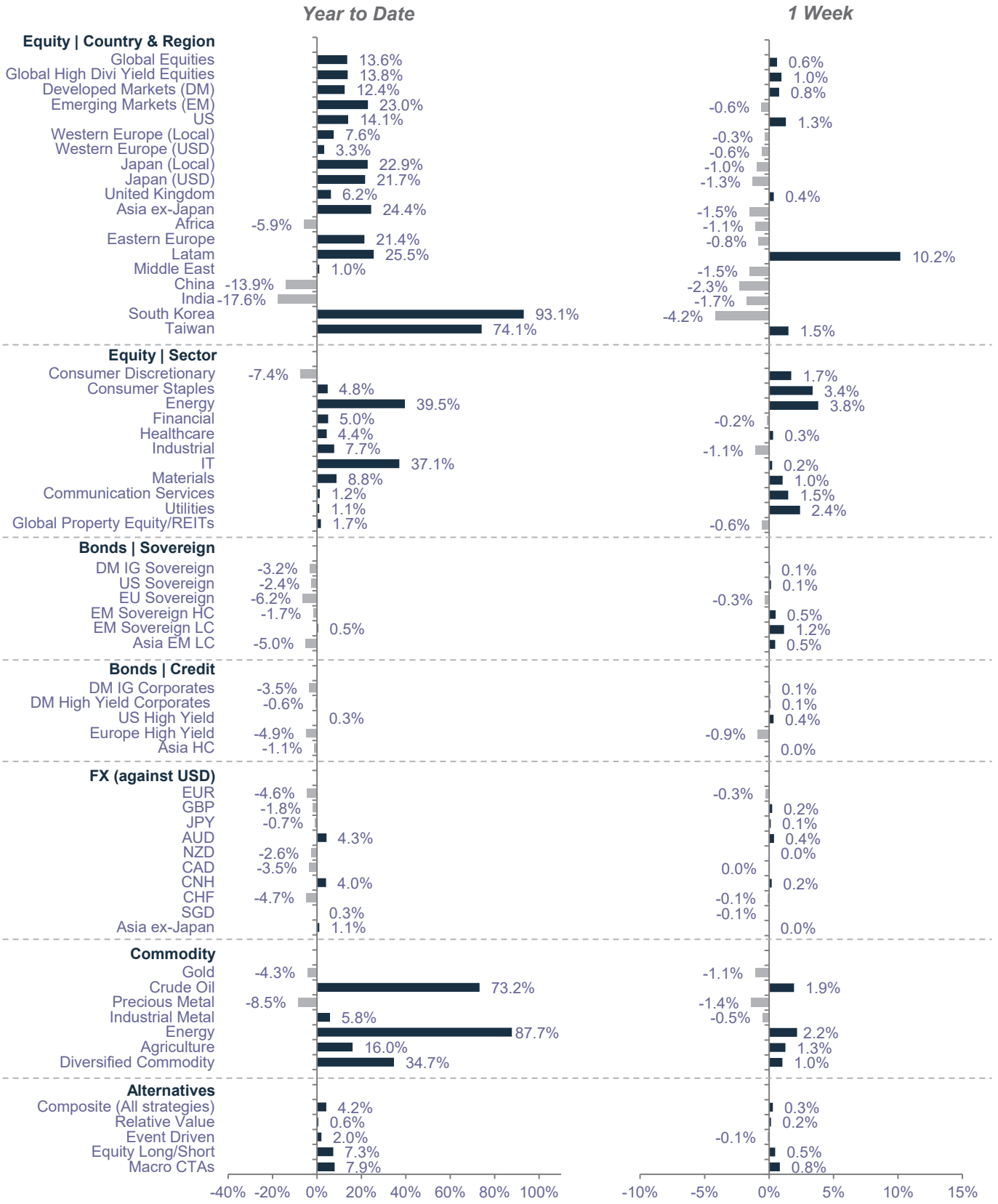
USD/JPY upside is likely capped around 160

USD/JPY and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 8 October 2026; 1-week period: 1 October 2026 to 8 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
Credit		China Financials	▲
Asia USD	◆	China Communication	▲
Corp DM HY	◆	China Materials	▲
Govt EM USD	▲	China Healthcare	▲
Corp DM IG	◆		
Govt		**Alternatives**	◆
Govt EM Local	◆		
Govt DM IG	▼	**Gold**	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON					
TUE	AUD	RBA Minutes of Sept. Policy Meeting	–	–	–
	USD	NFIB Small Business Optimism	Sep	98.0	98.7
	USD	Existing Home Sales	Sep	3.96m	3.98m
WED	CNH	PPI y/y	Sep	4.4%	3.8%
	CNH	CPI y/y	Sep	1.0%	0.8%
	USD	CPI y/y	Sep	3.6%	3.4%
	USD	Core CPI y/y	Sep	2.5%	2.4%
	CNH	Exports y/y	Sep	25.5%	25.0%
	CNH	Imports y/y	Sep	23.1%	28.2%
	CNH	Trade Balance	Sep	$118.3b	$119.1b
THU	USD	Fed Releases Beige Book	–	–	–
	USD	Retail Sales Control Group	Sep	0.3%	1.4%
	USD	Empire Manufacturing	Oct	–	7.6
	USD	Philadelphia Fed Business Outlook	Oct	30.9	37.8
	USD	PPI Final Demand y/y	Sep	–	5.4%
	USD	PPI Ex food & energy y/y	Sep	–	4.6%
FRI/SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,904

Technical indicators for key markets as of 8 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,765	7,567	7,904	19.1	1.2
STOXX 50	6,127	6,006	6,332	14.4	3.3
FTSE 100	10,442	10,256	10,739	12.0	3.7
TOPIX	4,091	3,972	4,206	16.0	2.3
Shanghai Comp	3,812	3,749	3,921	12.4	3.1
Hang Seng	23,786	23,217	24,875	9.9	3.6
Nifty 50	22,232	21,688	23,267	16.5	1.9
MSCI Asia ex-Japan	1,120	1,092	1,160	9.8	2.5
MSCI EM	1,699	1,660	1,754	9.6	2.9
Crude oil (WTI)	91.5	83.3	103.2	na	na
Gold	4,133	3,985	4,361	na	na
UST 10Y Yield	5.23	4.87	5.47	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 8 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.47
Global Equities	●	→	1.75
Gold	●	↑	2.38
Equity			
MSCI US	●	→	1.61
MSCI Europe	◐	→	1.44
MSCI AC AXJ	●	↓	2.07
Fixed Income			
DM Corp Bond	◐	↓	1.46
DM High Yield	◐	→	1.48
EM USD	◐	↓	1.41
EM Local	●	↑	1.78
Asia USD	◐	↓	1.49
Currencies			
EUR/USD	◐	↓	1.41

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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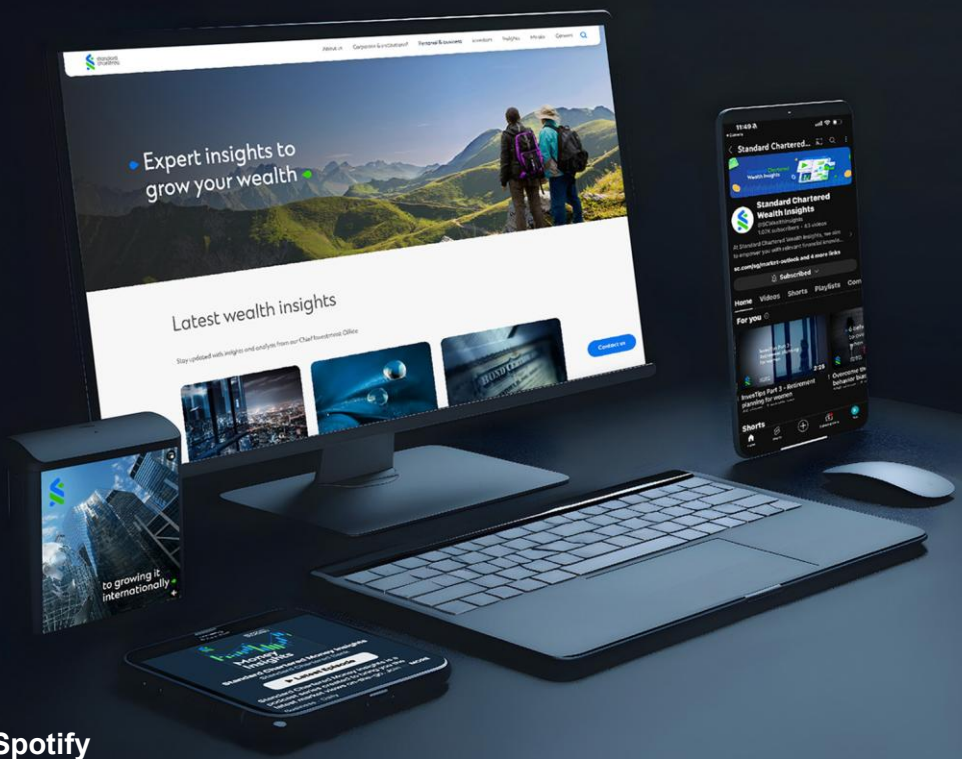
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WS Global CIO Office
2 October 2026

Weekly Market View

Opportunities from the bond sell-off



➔ The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon.

➔ We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as the impact of oil prices and tariffs ease next year.

➔ In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services. We remain constructive on the semiconductor and memory segments.

➔ We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Can equities withstand higher bond yields?

How do US mid-term election outcome scenarios affect the outlook for equities?

What is the outlook for AUD and AUD bonds after the latest RBA policy meeting?

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Compelling yields

The risk-reward in US 10-year government bonds looks compelling; in equities, we stick to quality large-cap segments

Expected total returns on government bonds from shifts in yields*

Expected yield in 12 months	US	Germany	Japan	UK
7.0%	-7.4	-17.9	-20.3	-5.3
6.5%	-4.1	-15.1	-18.6	-2.0
6.0%	-0.6	-12.0	-16.7	1.5
5.5%	3.0	-8.8	-14.4	5.2
5.0%	6.9	-5.3	-11.9	9.0
4.5%	10.9	-1.7	-9.1	13.1
4.0%	15.1	2.2	-6.1	17.3
3.5%	19.5	6.3	-2.7	21.6
3.0%	24.1	10.6	0.9	26.2
2.5%	28.9	15.1	4.8	30.9
2.0%	33.8	19.8	9.0	35.8
1.5%	38.9	24.7	13.4	40.9
1.0%	44.2	29.9	18.2	46.2
0.5%	49.7	35.2	23.2	51.6
0.0%	55.4	40.8	28.5	57.3

Relative 12-month performance of S&500, S&P400 & S&P600^



Source: Bloomberg, Standard Chartered; *annualised total returns, with dotted lines showing current yield levels; ^Index: 100 = 1 October, 2025

Editorial

Opportunities from the bond sell-off

Strategy summary: The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon. We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as impact of oil prices and tariffs ease next year.

In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services, such as financials, materials and power and electrification. We remain constructive on the semiconductor and memory segments. We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Attractive risk-reward in US 10-year government bonds. The US 10-year bond yield rose more than 50bps in September (biggest monthly rise since 2022) and 115bps this year, amid expectations of economic resilience, higher Fed rates, fuel-driven inflation, AI-related capital demand and fiscal concerns. Valuations appear close to fair value, improving the 6-12-month risk-reward. Bond arithmetic suggests losses of less than 1% if the yield rises to 6%, vs. more than 10% gains if it falls to 4.5%.

Resilient US economic activity, but softer-than-expected inflation. September data showed robust US employment (jobless claims, ADP) and core capital-goods orders. However, consumer confidence remains depressed, real disposable income is flat and households are drawing on savings to sustain spending. Against this divided backdrop, core PCE inflation - the Fed's preferred gauge - was softer than expected at 0.2% m/m and 3.0% y/y. A revised method to measure PCE inflation also indicate that annual core PCE inflation was 35bps lower than previously reported, narrowing the gap with CPI inflation.

Markets appear overly hawkish on the Fed. Money markets price about 85bps of tightening over the next 12 months. A strong labour market (September's non-farm payrolls data is due tonight) may justify one or two further hikes, but aggressive tightening after the sharp rise in bond yields – which has already tightened financial conditions - could threaten financial stability. US small- and mid-cap equities have already fallen 8–9% from recent peaks over the past couple of months, materially underperforming large caps, as energy and borrowing-cost concerns intensify. While some Fed speakers remain hawkish, we agree with New York Fed President Williams' that there is no urgency to tighten. We see little chance of an October Fed rate hike and expect inflation data for Sep-Nov determining whether the Fed moves in December.

Stay with quality equities and AI beneficiaries. US large caps have absorbed the rise in bond yields relatively well, supported by expectations of robust earnings growth led by AI-related investment. We continue to favour quality companies and sectors benefiting from this AI cycle. Semiconductors and memory remain preferred exposures: structural AI demand should extend the memory upcycle, while long-term supply agreements provide better revenue visibility. The opportunity is also broadening beyond technology and communication services into financials, materials, power and electrification.

Opportunities in AUD corporate bonds and gold. The USD rebound alongside higher US yields offers a tactical opportunity to add higher-yielding Emerging Market USD and non-USD bonds. We remain positive on AUD corporate bonds, which offer a yield premium over comparable US credit. Our constructive medium-term AUD/USD view could add returns for USD-based investors over the next 6–12 months. We would also use gold's recent pullback to add exposure, supported by sustained Emerging Market central bank demand. We continue to view USD 4,000/oz as important technical support for gold.

— ***Rajat Bhattacharya***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

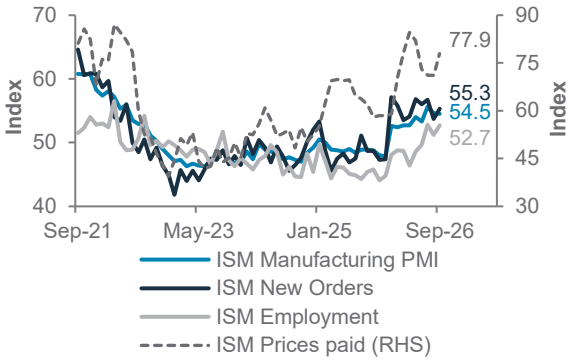
(+) factors: Soft US inflation, China stimulus, easing US-China tensions

(-) factors: Weak US and Euro area sentiment; geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US core PCE inflation at 0.2% m/m and 3.0 y/y was softer than expected • China PMI non-manufacturing PMI beat estimates at 50.2 in September, with manufacturing PMI rising to 50.1 as expected • US private sector employment (ADP) beat expectations in September • US ISM manufacturing new orders PMI rose more than expected to 55.3	• US ISM manufacturing PMI dropped unexpectedly to 54.5 in September • US JOLTS job openings fell to 7.08mn in August, missing consensus • US Conference Board consumer confidence index fell unexpectedly to 81.9 in September • Euro area economic confidence fell more than expected in September • China's industrial profit growth slowed to 4.2% y/y in August
	Our assessment: Neutral – Softer US core PCE inflation, robust jobs vs. weak sentiment in the US and Euro area	
Policy developments	• China unveiled targeted policy easing, including a rate cut for policy banks, higher technology relending quotas, and mortgage subsidies • Fed's Williams said there was no urgency for the next Fed rate hike • RBA's guidance was less hawkish than feared	• Fed's Barr, Musalem, Cook, Goolsbee and Kashkari said further rate hikes will be needed amid a robust economy and still-elevated inflation • BoE Governor Bailey warned elevated energy prices could make it harder to keep rates on hold
	Our assessment: Neutral – China stimulus; mixed Fed views	
Other developments	• US-China agreed limited tariff relief covering roughly USD30bn of trade in each direction, extending the recent trade truce	• US-Iran negotiations remain unresolved, with disagreements over sanctions relief and Hormuz reopening
	Our assessment: Neutral – Easing US-China trade tensions vs. ongoing geopolitical tensions	

US ISM manufacturing PMI fell unexpectedly in September, while prices paid for inputs jumped to 77.9; however, new orders PMI beat expectations

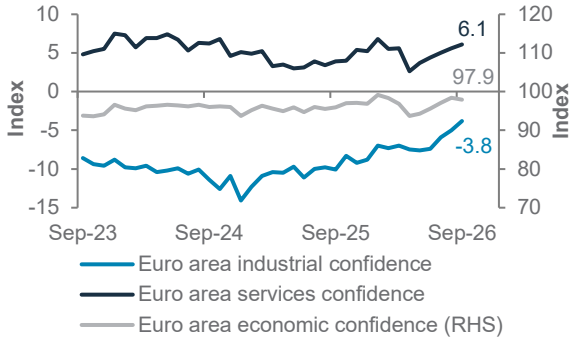
US manufacturing PMI and its components



Source: Bloomberg, Standard Chartered

Euro area economic confidence fell more than expected in September, although industrial sector confidence continued to improve from weak levels

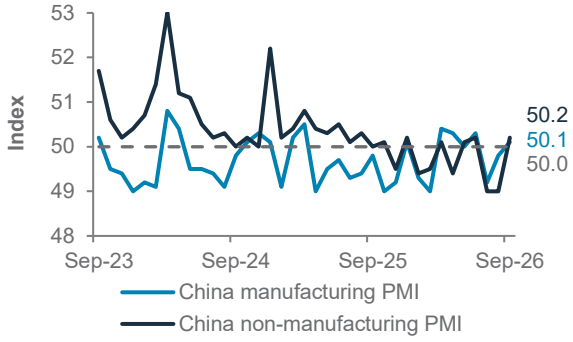
Euro area economic, services and industrial confidence



Source: Bloomberg, Standard Chartered

China's manufacturing and non-manufacturing sector business confidence both rose to expansion territory in September

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Do you expect more RBA rate hikes after its less hawkish guidance? What is your view on the AUD and AUD bonds?

Our view: We expect the RBA to leave rates unchanged, but retain the option to hike again should inflation intensify. We maintain our medium-term constructive AUD view and maintain our opportunistically bullish AUD corporate bonds idea.

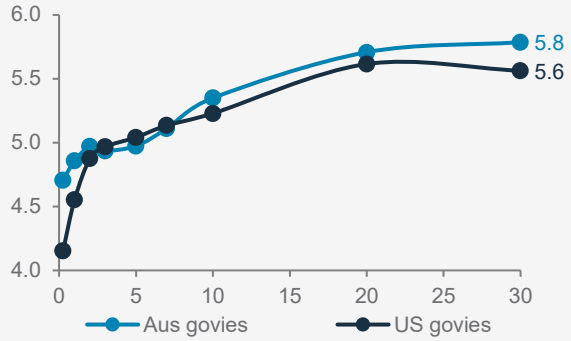
Rationale: The RBA's forward guidance remains data dependent, explicitly allowing further tightening if needed as inflation remains too high. At 4.60%, Australia's cash rate is currently 60–85bp above the Fed's 3.75–4.00% range. Thus, even with our two additional 25bps Fed hikes expectation, Australian rates would hold a modest positive rate differential. We expect the AUD to strengthen once the Fed signals that US rates are near their peak, which should allow resilient Australian fundamentals to reassert themselves. Key risks are persistently high US yields, weaker China growth or a sharper deterioration in global risk sentiment.

We believe risk-reward has become more attractive for AUD bonds following the bear-flattening of the AUD yield curve. Markets are already pricing in one more RBA hike through end-2027, presenting an attractive opportunity to earn a yield even as increasingly restrictive financial conditions reinforce disinflation over time. Meanwhile, the positive interest rate differential with the US supports the currency outlook, supporting the case for AUD bonds.

— **Vincent Tan,** *Senior Investment Strategist*
— **Cedric Lam,** *Senior Investment Strategist*
— **Iris Yuen,** *Investment Strategist*

We remain positive on AUD corporate bonds amid Australia-US interest rate differentials and positive outlook for the AUD

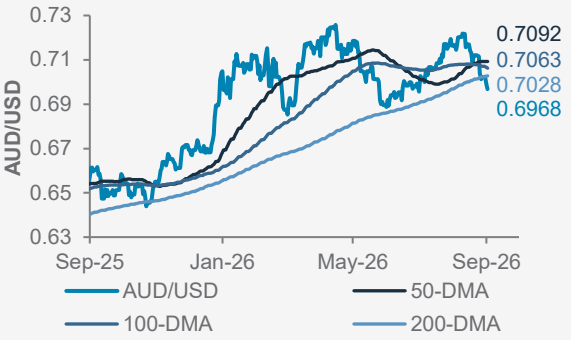
Australian and US government bond yield curves



Source: Bloomberg, Standard Chartered

Australia-US rate differentials expected to support AUD/USD recovery over medium term

AUD/USD and technicals



Source: Bloomberg, Standard Chartered

What does the incoming US data tell us about the path for US 10-year bond yields from here?

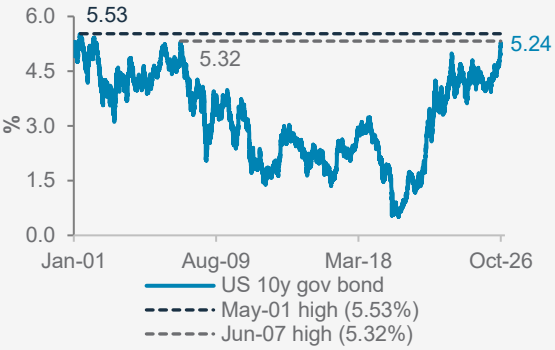
Our view: The risk-reward in US 10-year yields has turned attractive following their move higher amid incoming US data.

Rationale: Recent US data has indeed started to show softer-than-expected inflation. However, market technicals are likely temporarily delaying a move lower in bond yields, with reports suggesting the rise in yields is creating forced selling amongst hedge funds and real estate investment trusts. Nevertheless, we do not expect this to be an extended selloff. We have initiated an opportunistic bullish idea on US 10-year government bonds this week and continue to believe this idea offers an attractive risk/reward on a 6-12-month horizon as yields become attractive enough to entice buyer flow to return. On a broader allocation basis, we retain our structural preference for 3-7-year maturities in bonds.

— **Cedric Lam,** *Senior Investment Strategist*

The nominal US 10-year bond yield has surged to its highest closing high since 2007

US 10-year yields and historical highs



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How should investors position in the GBP ahead of the UK budget announcement next month?

Our view: We maintain a medium-term constructive GBP view, but keep near-term exposure measured ahead of the 28 October Budget. We would view any pre-Budget weakness as an opportunity to gradually build GBP exposure.

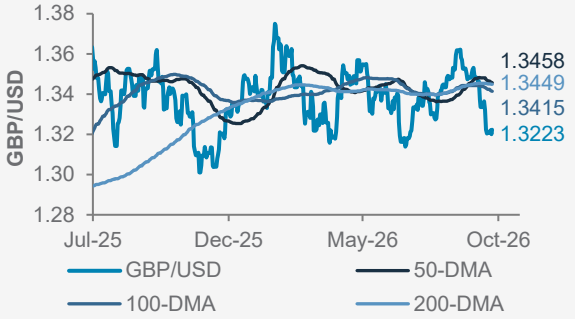
Rationale: The government's decision to adjust the pension triple lock from 2030 is an early indication of greater willingness to tackle longer-term spending pressures, reinforcing Chancellor Healey's commitment to fiscal discipline and meeting the fiscal rules. Markets are likely to scrutinise the Budget closely for evidence that this discipline extends to near-term tax and spending decisions. A credible Budget should help contain pressure on UK government bond yields and support GBP. Any fiscal slippage remains a key risk.

Near term, we prefer measured GBP exposure as elevated US yields and repricing towards further Fed tightening could continue to support the USD. Over the medium term, we expect GBP to rebound as the Fed eventually signals the peak of its tightening cycle.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

GBP/USD's pre-Budget weakness sets an opportunity to gradually build GBP exposure over the medium-term

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

How would different US mid-term election outcome scenarios affect the outlook for US equities?

Our view: We believe election outcomes will have a limited impact over the next 12 months. We remain positive on US equities driven by fundamental earnings growth.

Rationale: Over the past 50 years, the ruling US President's party has retained control of both chambers of Congress on only two occasions (1978 and 2002). All other elections resulted in an opposition sweep or a divided government.

Based on the latest prediction markets, it appears that an opposition sweep (both the House and Senate flips from Republican to Democrats) is more likely than a divided government (in which the House flips to Democrats, while the Senate remains under Republican control). A scenario where Republicans retain a majority is least likely per prediction markets.

While mid-term elections may introduce near-term volatility, we caution against overreaction. Historically, the average return for the S&P 500 following an opposition sweep is 17% over the next 12 months, but the average return following a divided government is not significantly worse, at 15%. We prefer to base our investment views on fundamental earnings growth, where investor attention should focus on the upcoming Q3 earnings season.

— **Jason Wong,** *Senior Equity Analyst*

An opposition sweep in the US mid-term elections has historically led to a 17% average increase in the S&P 500 index over the next 12 months

S&P 500 returns over the next 12 months following US mid-term elections

Year	After midterm election	S&P 500 – 12m returns (%)
1978	Retained a majority	12.4
1982	Divided government	25.4
1986	Opposition sweep	4.3
1990	Opposition sweep	29.3
1994	Opposition sweep	30.4
1998	Opposition sweep	23.6
2002	Retained a majority	17.0
2006	Opposition sweep	8.7
2010	Divided government	5.8
2014	Opposition sweep	6.7
2018	Divided government	14.0
2022	Divided government	16.4
Total Average		**16.2**
Retained a majority		14.7
Divided government		**15.4**
Opposition sweep		**17.2**

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is the outlook for the memory chip and broader semiconductors industry?

Our view: We remain positive on semiconductors and memory chips. Structural AI demand should prolong the memory upcycle while long-term agreements improve revenue visibility.

Rationale: Recent industry commentary points to tighter memory supply-demand conditions through 2028, reinforcing our view that AI demand is likely to extend the memory upcycle. Furthermore, adoption of long-term agreements improves revenue and earnings visibility.

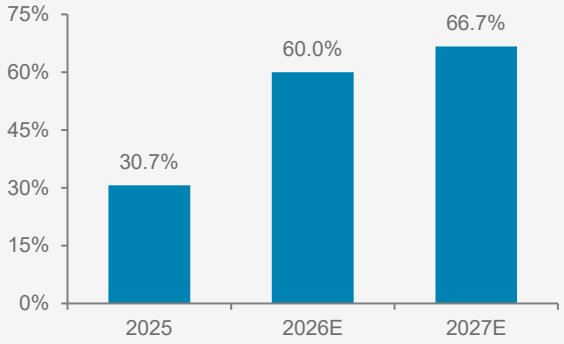
Despite debates around "Pacing the Frontier", we have seen a flurry of new model releases, along with the introduction of new consumer AI agents capable of comparing prices online and making purchases. These are early days, but the path is open for a business-to-agent (B2A) economy where businesses increasingly interact with AI assistants acting on customers' behalf. As these applications are increasingly inference intensive, wider adoption should support demand for memory, with its share of global semiconductor revenues projected to rise from 30.7% in 2025 to 66.7% in 2027.

Against this backdrop, we maintain our Opportunistic idea on Global Semiconductors. Given memory chips' cyclical nature, investors should avoid overconcentration in memory names and maintain a diversified exposure across Big Tech and semiconductors.

— **Ryan Goh**, *Investment Strategist*

The memory segment is projected to account for two-thirds of global semiconductor revenues by 2027

Memory as a % of global semiconductor revenues



Source: Company reports, Bloomberg Intelligence, Standard Chartered

Does a US bond yield stress test raise the risk to your constructive view on US equities?

Our view: We have a target for the S&P 500 index of 8400 over the next 12 months. A scenario of a sustained rise in the US 10-year government bond yield to 5.6% could lead to negative returns from the current S&P500 level (7,666).

Rationale: Our base case 12-month target for the S&P 500 is 8,400, which assumes 2027 S&P 500 EPS of USD 420 and a 20x forward P/E multiple. A rise in bond yields would have an impact on equity valuations, as a higher discount rate reduces the present value of future earnings. We stress-test our target under different 10-year yield and earnings scenarios.

A rise in bond yields would arguably be associated with a stronger growth environment and hence, even higher earnings. However, assuming unchanged EPS at our base case of USD 420, a (sustained) rise in the 10-year bond yield to 5.6% would lead to negative returns from the current level if not offset by a further improvement in earnings growth. However, in our base case we expect the 10-year yield is more likely to fall from here.

— **Fook Hien Yap**, *Senior Investment Strategist*

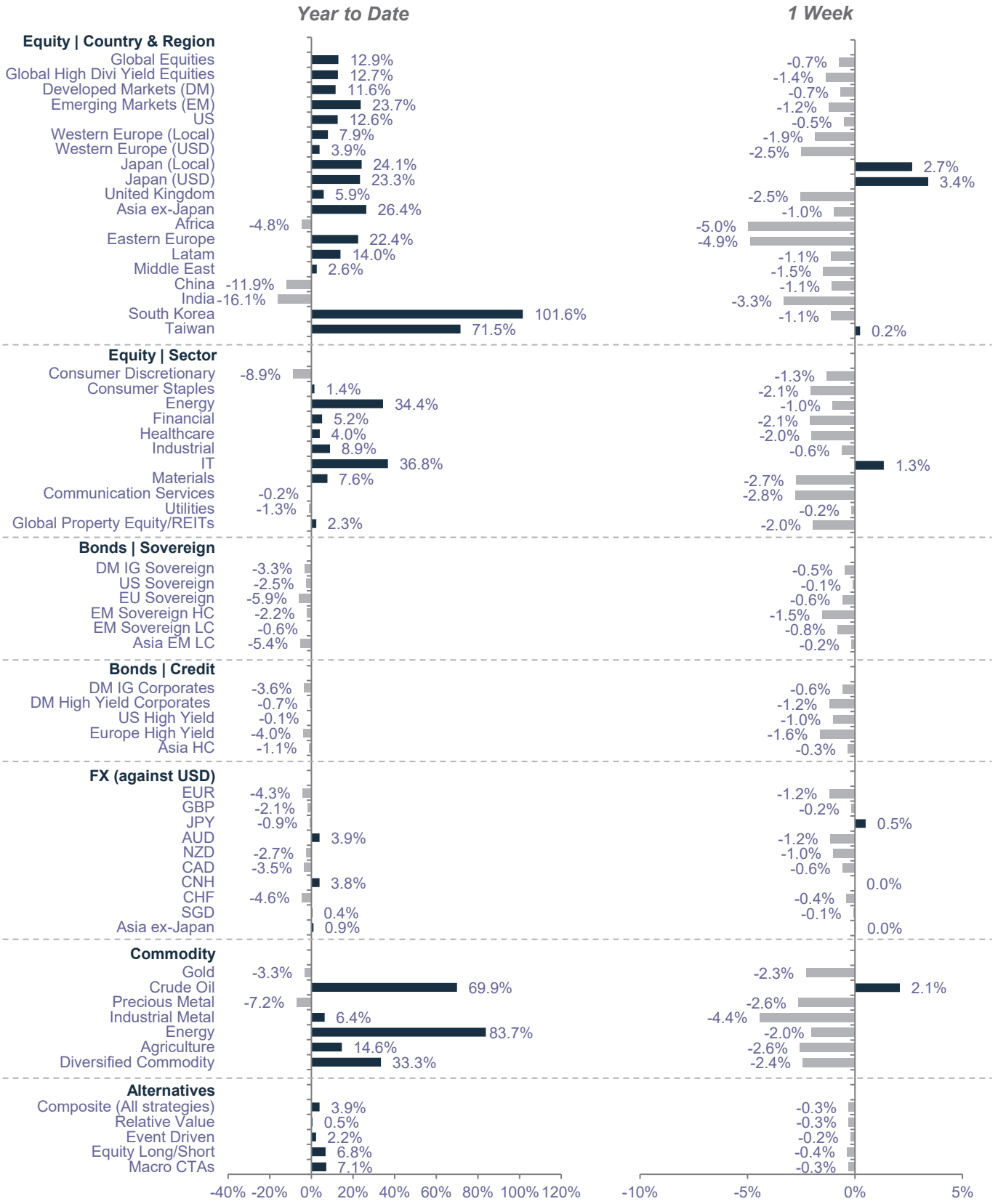
A sustained rise in the US 10-year bond yield to 5.6%, with no change to the earnings view, would raise downside risk to our S&P 500 target

Sensitivity analysis of our 12-month S&P 500 index target

10-year rates	2027E EPS				
	400	410	420	430	440
6.6%	6,080	6,232	6,384	6,536	6,688
6.4%	6,320	6,478	6,636	6,794	6,952
6.2%	6,560	6,724	6,888	7,052	7,216
6.0%	6,800	6,970	7,140	7,310	7,480
5.8%	7,040	7,216	7,392	7,568	7,744
5.6%	7,280	7,462	7,644	7,826	8,008
5.4%	7,520	7,708	7,896	8,084	8,272
5.2%	7,760	7,954	8,148	8,342	8,536
5.0%	8,000	8,200	8,400	8,600	8,800
4.8%	8,240	8,446	8,652	8,858	9,064

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 1 October 2026; 1-week period: 24 September 2026 to 1 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
Credit		China Financials	▲
Asia USD	◆	China Communication	▲
Corp DM HY	◆	China Materials	▲
Govt EM USD	▲	China Healthcare	▲
Corp DM IG	◆		
Govt		**Alternatives**	◆
Govt EM Local	◆		
Govt DM IG	▼	**Gold**	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Oct	–	5.1
	EUR	PPI y/y	Aug	–	5.8%
	USD	ISM Services Index	Sep	55.2	55.4
TUE	EUR	Retail Sales y/y	Aug	–	0.6%
	USD	Trade Balance	Aug	-$83.8b	-$88.6b
WED	JPY	Labor Cash Earnings y/y	Aug	–	4.7%
	JPY	Real Cash Earnings y/y	Aug	–	2.4%
	INR	RBI Repurchase Rate	7-Oct	5.5%	5.3%
	CNH	Foreign Reserves	Sep	–	$3438.3b
THU	USD	FOMC Meeting Minutes	16-Sep	–	–
	USD	Initial Jobless Claims	3-Oct	–	–
	USD	Continuing Claims	26-Sep	–	–
FRI/SAT	USD	U. of Mich. Sentiment	Oct P	48.0	48.1
	USD	U. of Mich. 1yr Inflation	Oct P	–	4.6%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,797

Technical indicators for key markets as of 1 Oct close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,666	7,522	7,797	18.9	1.2
STOXX 50	6,175	6,088	6,344	14.5	3.3
FTSE 100	10,428	10,257	10,734	12.0	3.7
TOPIX	4,132	4,000	4,230	16.2	2.3
Shanghai Comp	3,842	3,768	3,956	12.6	3.1
Hang Seng	24,613	23,995	25,511	10.2	3.5
Nifty 50	22,422	21,712	23,638	16.9	1.9
MSCI Asia ex-Japan	1,137	1,104	1,172	9.9	2.5
MSCI EM	1,709	1,667	1,761	9.7	2.9
Crude oil (WTI)	92.9	83.8	104.4	na	na
Gold	4,178	4,022	4,422	na	na
UST 10Y Yield	5.24	4.87	5.48	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 1 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.40
Global Equities	●	↑	1.80
Gold	●	↓	1.95
Equity			
MSCI US	●	→	1.65
MSCI Europe	◐	→	1.40
MSCI AC AXJ	●	↓	1.85
Fixed Income			
DM Corp Bond	◐	↓	1.41
DM High Yield	◐	→	1.44
EM USD	◐	↓	1.36
EM Local	●	↑	1.90
Asia USD	◐	↓	1.47
Currencies			
EUR/USD	◐	↓	1.43

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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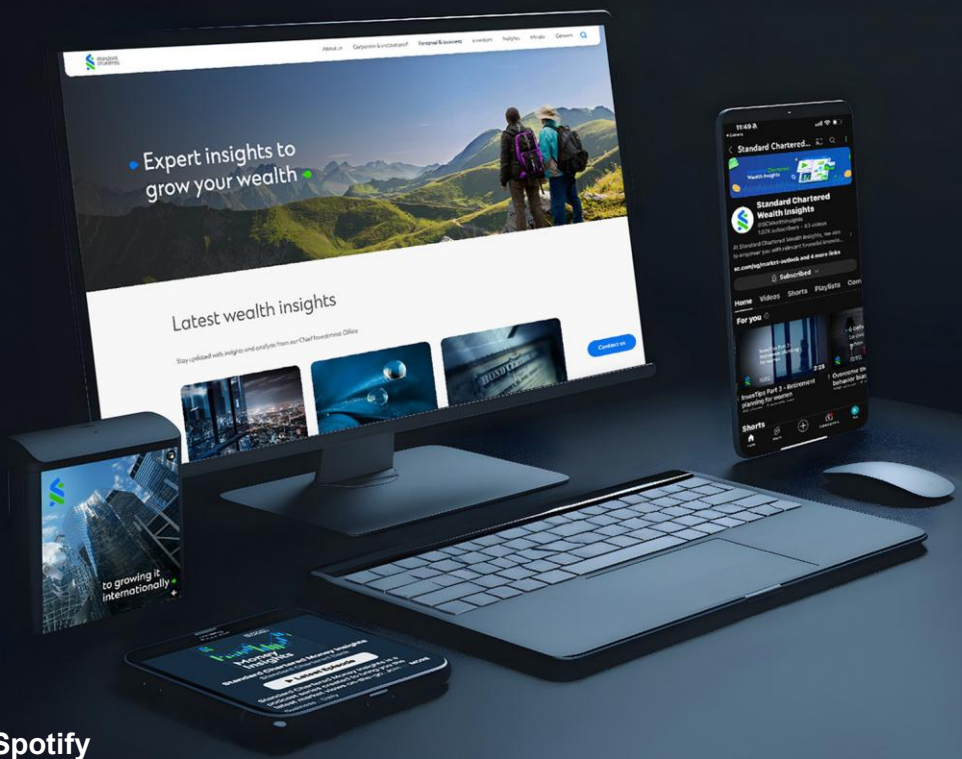
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WS Global CIO Office
18 September 2026

Weekly Market View



A Fed credibility-induced bounce

➔ The Fed's unanimous decision to hike rates this week for the first time since 2023 and pencil in another hike by December confirms our expectations of a central bank willing to establish its independence against political pressure.

➔ The BoJ also hiked rates this week. It is the first time on record all three major central banks – Fed, ECB and BoJ – have hiked in the same month, as they respond to a resurgence in energy-driven inflation amid tight job markets.

➔ We expect the Fed to hike once more by year-end to 4.25% and follow up with another hike in H1 2027 to 4.5%. With the revised estimates, we revise up our US government bond yield forecasts.

➔ Nevertheless, with Fed policy uncertainty easing, we see an opportunity to use the equity market dip to add exposure amid solid corporate earnings.

What is the outlook for US government bond yields following the Fed meeting?

Will the step-up in the Fed's risk-free rate trigger a repricing of equities?

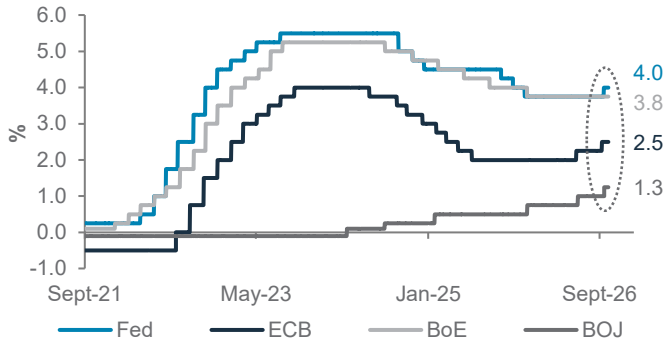
What is the impact of BoJ and BoE policy meetings on their respective currencies?

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Fed joins the fray

The Fed hiked for the first time since 2023, joining its peers, and moderately upgraded its policy rate estimate for this year

Fed, ECB, BoJ and BoE policy rates



Source: Federal Reserve, Bloomberg, Standard Chartered

Fed's updated economic projections

	GDP		Unemploy-ment		Core PCE		Rates estimates	
Dates	Old	New	Old	New	Old	New	Old	New
2026	2.2	2.3	4.3	4.1	3.3	3.4	3.8	4.1
2027	2.3	2.4	4.3	4.1	2.5	2.5	3.6	4.1
2028	2.2	2.2	4.2	4.1	2.1	2.2	3.4	3.9
LR*	2.0	2.0	4.2	4.2			3.1	3.2

Editorial

A Fed credibility-induced bounce

Strategy summary: The Fed's unanimous decision to hike rates this week for the first time since 2023, and pencil in another hike by December, confirms our expectations – flagged in the last two weeklies - of a central bank willing to establish its independence against political pressure. The Fed's moderately hawkish pivot is helping restore its inflation-fighting credentials. The BoJ also hiked rates this week. It is the first time on record all three major central banks – Fed, ECB and BoJ – have hiked in the same month, as they respond primarily to a resurgence in energy-driven inflation amid tight job markets.

We expect the Fed to hike once more by year-end to 4.0-4.25% and follow up with another hike in H1 2027 to 4.25-4.5%. With the revised estimates, we revise up our US government bond yield forecasts. Nevertheless, with Fed policy uncertainty easing, we see an opportunity to use the equity market dip to add exposure amid solid corporate earnings.

Fed moves to restore credibility: The Fed's policy pivot this week followed Chair Warsh's hawkish Jackson Hole speech and recent economic data prints, namely: a pick-up in job creation and inflation over the summer and a sharp rebound in oil prices due to the re-escalation of the Middle East conflict. Given the unanimous Fed decision to hike rates this week, we expect two more hikes by June 2027 on the back of robust growth amid strong AI investments and a tight labour market, keeping inflation elevated. We expect this pivot to help the Fed rebuild credibility as an inflation fighter.

Policy outlook less aggressive than market pricing: The updated Fed policy rate estimates are lower compared with money market pricing of three more rate hikes by June 2027 since we expect disinflation to take hold by Q2 2027 as the impact of oil prices and tariffs fade. We believe policy rates can return to the 4.0–4.25% range by end-2027, with the possibility of cuts in H2 2027 as inflation pressures ease.

Upgrading near-term US rates and USD estimates: Based on these revised estimates, we also upgrade our 3-month target for the US 10-year government bond yield to 5.0-5.25%. We also revise up our 12-month target for the US 10-year bond yield to 4.75-5.0% (see page 4).

Buying the equity dip as focus turns to fundamentals: Fed hikes typically do not hurt equities over the medium-term when accompanied by strong earnings growth. We estimate a 25bps rise in Fed rates (the discount rate) would impact the S&P500 index and global equities by 3-4%. However, we expect the headwind from higher rates to be offset by strong earnings growth, driving positive performance for global equities. Furthermore, a hawkish Fed is largely priced in and we expect the Fed to deliver fewer rate hikes than currently priced by markets. Meanwhile, we believe concerns over AI industry leaders slowing the pace of development are overdone. Hence, we maintain our preference for a diversified group of large cap technology and semiconductor industry leaders (see page 5-6).

BoJ hikes; modestly bullish JPY: The BoJ hiked rates by 25bps to a three-decade high of 1.25%, as expected, but the 7-2 split vote led to renewed JPY weakness on concerns it may slow the pace of further hikes. We remain constructive on JPY amid narrowing rate differential vs peers as the BoJ potentially hikes rates by 25bps once per quarter until Q2 2027 to curb rising domestic wage-driven inflation pressure . Any sign of BoJ slowing the pace of hikes could lead to renewed JPY weakness, fuelling inflationary pressures (see page 7).

BoE holds; rangebound GBP: The BoE held rates this week, bucking the hiking trend among peers, as weakening UK job and housing markets offset rebound in energy-driven inflation. We expect BoE to deliver fewer rate hikes than the 100bps of increase currently priced by markets as the job market slows further. This is likely to keep GBP rangebound (see page 7).

— ***Rajat Bhattacharya***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Strong US retail sales; resilient China industrial output

(-) factors: Weak US and Euro area sentiment; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US retail sales control group rose 1.4% m/m in August, above estimates • Euro area industrial production fell less than expected by 0.1% m/m • China industrial production beat estimates in August	• US Michigan sentiment fell to 47.8 in September • Euro area ZEW sentiment fell to 25.8 in September • China retail sales and fixed-asset investment came in below consensus in August
	Our assessment: Neutral – Strong Euro area and China industrial production vs. weak US and Euro area sentiment	
Policy developments	• BoJ raised its policy rate by 25bps to a three-decade high of 1.25%, as expected. The 7-2 split vote raised the risk of a slower pace of future hikes	• The Fed raised its rate by 25bps in a unanimous 12-0 vote, and projected another hike this year • The BoE held rates unchanged as expected, while the minutes signalled a growing hawkish tilt
	Our assessment: Negative – Hawkish Fed, BoE and BoJ	
Other developments	• US-China discuss tariff concessions to extend trade truce ahead of the leaders' summit on 24 Sep • President Trump said US and Canada will likely announce trade deal soon	• Saudi Arabia temporarily shut down its main East-West crude oil pipeline following a drone attack • Ukraine struck a Russian oil refinery, despite Trump's claim of an energy infrastructure ceasefire • China warned of cancelling summit if US approves new arms sales to Taiwan • AI leaders called for a slowdown in development, but immediately faced intense pushback from the administration
	Our assessment: Negative – Ongoing geopolitical tensions, political pressure on Fed to cut rates	

US retail sales growth accelerated in August; however, the Michigan consumer sentiment index declined more than expected in September

US Michigan consumer sentiment and retail sales control group (core retail sales)



Source: Bloomberg, Standard Chartered

The ZEW survey indicated that Euro area optimism is fading outside of Germany

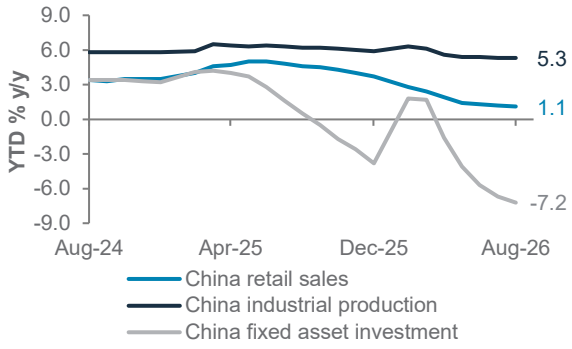
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's retail sales growth was subdued and investment slumped in August

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

Where do you see US government bond yields following the Fed's 16 September decision to hike interest rates?

Our view: The US 10-year government bond yield is likely to retest the 5.00-5.25% range in the near term. We favour 3-7-year maturity bonds in the US, preferring credit over government bonds. We are looking for an opportunity to extend duration approaching Q2 2027.

Rationale: Over the next few months, we expect 2- and 30-year US government bond yields to remain rangebound, but the 10-year yield is expected to rebound up to the 5.00-5.25% range. The reasons for this include: **1) oil prices** staying elevated and potentially rise further due to the fluid geopolitical situation in the **Middle East**, with Saudi Arabia's East-West oil pipeline shut, the Houthis now firmly in control of the Strait of Bab-al-Mandab, the Strait of Hormuz still closed and China returning as a buyer of crude oil in the market; **2)** despite notable AI leaders expressing the need to slow AI development, AI capex plans are showing no signs of slowing down, which continues to drive above-trend growth in the economy. This, in turn, also means **AI-related heavy bond issuance** is expected to continue. These issuers typically issue long-dated tenors, and this competition for capital will also exert upward pressure on the US 10-year yields.

We note that **the US 10-year bond yield has room to move lower**, driven by short-covering activities in the very near term as net-short positions had moved to extreme levels before this week's Fed meeting. However, we think such downshifts would be **short-lived** and the central tendency for the 10-year yield would be to move back up to the **5.00-5.25%** range.

Meanwhile, we see US 30-year yields continuing to reflect the **dire fiscal outlook** for the US government. We expect US 2-year yields to continue trading in a range that reflects expectations of further federal funds rate hikes. For the record, **we only expect two more rate hikes from the Fed into the middle of 2027**, while money markets are pricing in three more for the same period.

Going into H2 2027, **we expect oil prices to moderate** (either through a resolution of the Middle East conflict or a re-routing of oil supply chains) and the **inflationary effects from tariffs to fade**. Inflation by then is likely be close to – if not at – the Fed's target of 2%. At this point, we see **room for the Fed to contemplate rate cuts**. US 2-year yields (the tenor that is most sensitive to Fed policy changes) will likely start to price this in. With oil prices and inflation cooling, 10-year yields would also have room to come down.

US 30-year yields, on the other hand, are expected to remain elevated as the **US fiscal deficit** remains substantial next year and could become much worse than its already dire state today. As a result, the 'term premium' may keep the ultra-long end elevated. Short of some unorthodox policy to artificially cap them lower, 30-year yields could continue to drift higher into H2 2027.

We continue to favour the **3-7-year segment** of the yield curve and **prefer credit over government bond**s. We see an opportunity for us to extend duration closer to Q2 2027.

— **Jonathan Liang, CFA,** *CIO for Fixed Income and FX*

We have updated our three- and 12-month outlook for US government bond yields

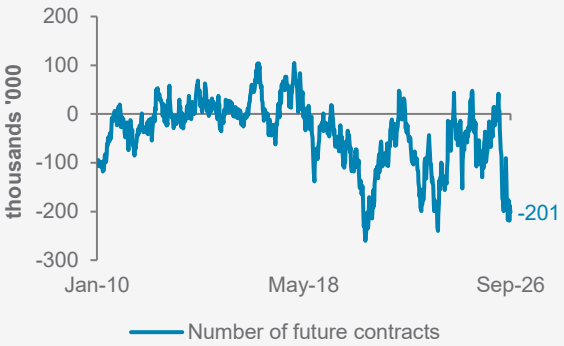
Our latest US government bond yield forecast

	3-month	12-month
2-year	4.50 – 4.75%	4.00 – 4.25%
10-year	5.00 – 5.25%	4.75 – 5.00%
30-year	5.25 – 5.50%	5.50 – 5.75%

Source: Standard Chartered

Short-covering trades could move bond yields lower temporarily as net-short positions in US government bond futures have reached extreme levels this week

Bloomberg Commodity Futures Trading Commission Chicago Board of Trade US government bond net non-commercial futures positions



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Will the step-up in the Fed's risk-free rate trigger a re-pricing of equities?

Our view: We expect strong corporate earnings growth to offset the headwind of higher rates, driving positive performance for global equities. We remain Overweight global equities.

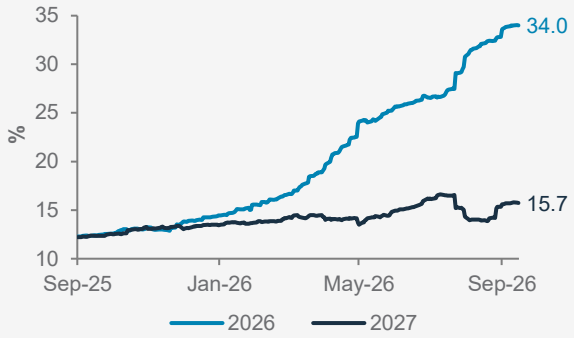
Rationale: The Fed's latest 25bps rate hike had been anticipated by the bond market, partly reflected in the bond yield rise we have seen so far in 2026. Using the US 10-year government bond yield as a **proxy** for the risk-free rate, the yield has risen by 80-85bps this year. We estimate that each 25bps rise in the discount rate presents a **valuation drag** on global equities. On this basis, the rise in yields represents **a potential 10-14% headwind for equities** this year.

However, the Fed's hike reflects a solid expansion of US economic activity, resilient domestic spending and robust capital investment. This is consistent with the positive earnings revisions we have seen this year, with 2026 earnings growth projections now at 34% (and 16% for 2027). **Global equities are up 14%** year-to-date (YTD), but even with a 14% valuation headwind from higher yields, we believe they can rise further, given strong earnings growth in 2026 and 2027.

— **Fook Hien Yap**, *Senior Investment Strategist*

Global equities' earnings growth estimates have been revised higher this year, offsetting the headwind from higher rates

Evolution of consensus 2026 and 2027 earnings growth for the MSCI AC World Index (MSCI ACWI)



Source: FactSet, Standard Chartered

What is the outlook for the US 10-year government bond yield? What is your tactical view on the DXY?

Our view: We raise our three-month US 10-year government bond yield forecast to the 5.00-5.25% range. Meanwhile, we see a near-term upward bias in the DXY after its recent downtrend, supported by recent Fed tightening and higher short-term US bond yields.

Rationale: The Fed's decision to raise the target range for the federal funds rate by 25bps to 3.75-4.00% validates the upside policy risks we flagged recently, following Fed Chair Warsh's Jackson Hole speech and a run of **firmer US economic data**. We expect growth to remain robust, the labour market to remain tight and inflation to stay elevated, supporting **one more hike before year-end 2026** and **potentially another in H1 2027** – fewer than the three additional hikes currently priced in by money markets. For the US 10-year government bond yield, **further policy tightening** and **lingering US fiscal concerns** should keep yields elevated, but the Fed's visible response to inflation should limit additional upward pressure, leaving the 10-year yield holding around the 5.00-5.25% range.

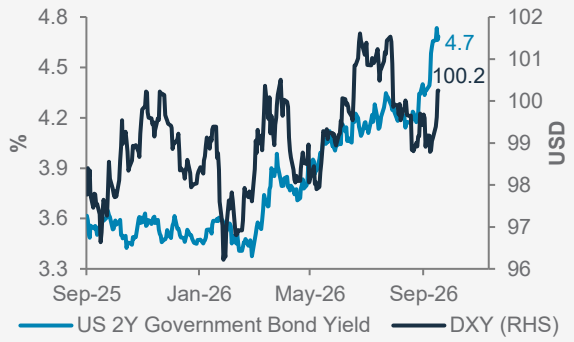
Crucially, Warsh provided **no forward guidance** on further rate hikes. Markets had already priced in substantial additional rate hikes ahead of the Fed meeting, reducing the scope for further USD upside purely from rate repricing. Meanwhile, we expect **further policy tightening** from the ECB and the BoJ, while the RBA also remains biased towards further tightening. This should gradually narrow the US rate advantage and limit the extent of a DXY rebound.

— **Vincent Tan,** *Senior Investment Strategist*

— **Anthony Naab, CFA**, *Investment Strategist*

The US Dollar Index (DXY) remains closely linked to US front-end rate expectations

The DXY tracks US 2-year government bond yields



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How should investors position in technology as AI lab CEOs call for a slowdown in frontier AI model development?

Our view: We believe concerns over "pacing the frontier" are overdone. We maintain our preference to remain invested in and diversified across Big Tech and semiconductor leaders.

Rationale: We believe it is prudent for investors to **avoid overreacting** to the recent calls for a slowdown in frontier AI model development, as they focus on **responsible AI development**, rather than halting AI model development or reducing spending. The global AI leadership race, reinforced by **the US and China's strategic ambitions**, also makes a coordinated slowdown unlikely.

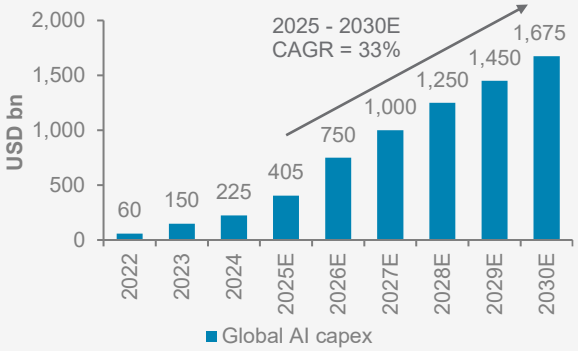
While the near-term narrative may shift from AI training beneficiaries towards **inference plays**, hyperscalers continue to signal strong AI infrastructure commitments and improving monetisation, supporting our AI capex outlook. **Rising AI adoption and agentic use cases** should sustain inference demand, even if training activity moderates, benefiting custom AI chips, NAND flash memory and hyperscalers.

We believe **the decline in valuations** this year more than compensates for any downside risk to AI capex. Our **Opportunistic idea on Global Semiconductors** further reflects our conviction, with attractive valuations supporting selective additions during volatility.

— **Ryan Goh**, *Investment Strategist*

Our AI capex estimates are 15-20% below consensus expectations to account for execution risks

Global AI capex is expected to register a CAGR of 33% over 2025-30



Source: Company reports, Standard Chartered

With ASEAN and UK equities outperforming AI-focused markets in H2 2026, is it worth adding to these markets?

Our view: ASEAN and UK equities offer portfolio diversification, but we are Underweight both markets in favour of US and Asia ex-Japan (AxJ) equities, given their stronger earnings potential.

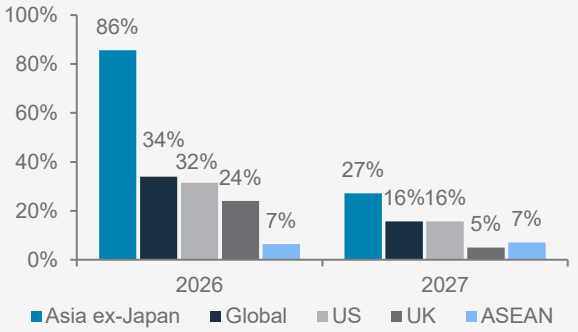
Rationale: The ASEAN and UK markets have outperformed the MSCI ACWI over the past three months, but both have **underperformed** on a YTD basis. **Financials** is the largest sector in the ASEAN (53%) and the UK (28%) and provides steady earnings. However, both markets have minimal exposure to **the technology sector** (just 3% and 1%, respectively), ultimately dragging down growth. Hence, while defensive markets offer value by increasing diversification and reducing volatility in a portfolio, we maintain our **Underweight allocation for ASEAN and the UK**, as we see much stronger earnings potential elsewhere in the US and AxJ markets.

We remain **Overweight US and AxJ**, supported by robust earnings growth, as AI still has the potential to become a major economic growth driver**.** Our **12-month S&P500 Index forecast of 8,400** implies low-teens upside, supported by a strong earnings backdrop of **25-30% earnings-per-share growth for 2026 and 15-20% for 2027**. AxJ also boasts the strongest earnings growth among major markets, fuelled by the AI semiconductor super-cycle.

— **Cindy Lam, CFA**, *Senior Investment Strategist*

Our Overweight views on AxJ and US equities are supported by robust earnings growth

Consensus 2026 and 2027 earnings growth estimates for MSCI equity indices



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Why is it still appropriate to have a positive stance on US high-yield (HY) bonds?

Our view: We remain opportunistically bullish on US HY bonds. Lower sensitivity to interest rate volatility, a below-trend default rate and a maturity wall pushed out to 2028-29 drive this view.

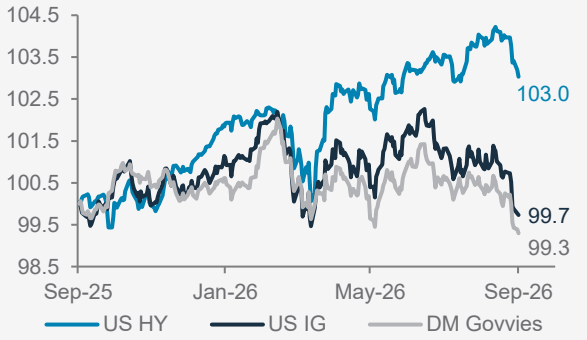
Rationale: Recent interest rate volatility has highlighted a key structural advantage of US HY bonds: their **higher coupon rates** and **shorter tenors** relative to Developed Market (DM) government bonds and US investment-grade (IG) corporate bonds translate into a **much lower sensitivity to interest rates**, cushioning bond prices during yield backup episodes, where bond yields rise sharply.

YTD, US HY has delivered **1.8% in total returns**, outperforming DM government bonds and US IG corporate bonds by over 3% each on a relative basis. This outperformance was particularly evident during the recent back-up in bond yields, as inflation concerns re-emerged after **renewed Middle East tensions** – an environment where HY's lower rate sensitivity provided a relative cushion even as broader fixed income markets came under pressure in absolute terms. On the fundamentals side, **US HY corporate credit quality remains resilient**. Default rates continue to track below long-run trend levels, and the maturity wall has been pushed out to 2028-29, reducing near-term refinancing risk. Against a non-recessionary macro backdrop, we expect these credit fundamentals to hold, supporting the case for **continued opportunistic exposure** to the asset class.

— **Ray Heung,** *Senior Investment Strategist*

We expect US HY bonds to continue delivering strong performance in the near term

Total returns: US HY corporate, US IG corporate and DM government bond indices



Source: Bloomberg, Standard Chartered

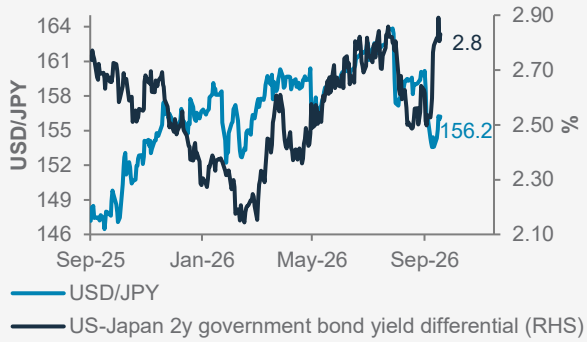
Do the latest BoJ and BoE meetings alter your view on the central banks' rate paths and their corresponding currencies?

Our view: We remain constructive on the JPY and expect two BoJ rate hikes this year and potentially one hike per quarter in H1 2027 as policy normalisation continues. Meanwhile, the BoE held rates at 3.75%. We expect GBP/USD to stay rangebound within 1.32-1.36 over the next 1-3 months, with downside risk towards the lower end of our medium-term 1.30-1.36 range.

Rationale: Persistent inflation, higher energy prices and earlier JPY weakness support **further BoJ policy normalisation**. Continued hiking should progressively narrow the US-Japan rate gap, reduce the attractiveness of JPY-funded carry trades and support the JPY over the medium term towards the 153-155 range. However, with a September hike largely priced in, future tightening's pace will be more important for the JPY. Meanwhile, the BoE was **split 6-3 in its decision to hold rates at 3.75%**, with three members preferring a 25bps hike, signalling elevated inflation risks. However, a **weaker labour market** is likely to limit the pace of BoE tightening. The US-UK rate divergence is expected to favour the USD over the next 1-3 months. Further BoE tightening (if inflation remains elevated) could narrow the rate gap and provide support to the GBP later in the cycle.

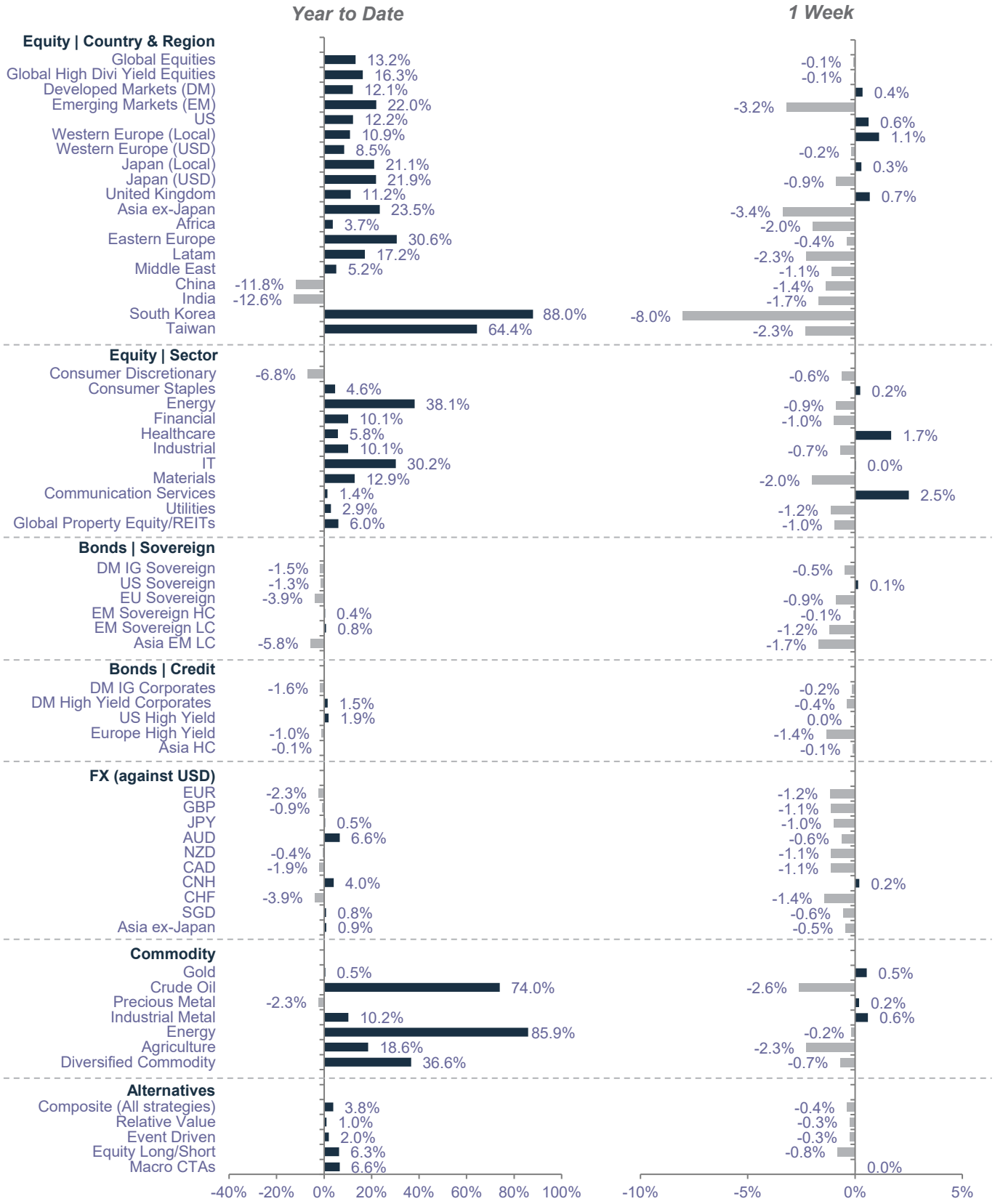
— **Vincent Tan**, *Senior Investment Strategist*

USD/JPY vs. US-Japan 2-year government bond yield differential



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 17 September 2026; 1-week period: 10 September 2026 to 17 September 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	◆	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	Chicago Fed Nat Activity Index	Aug	-0.06	-0.08
TUE	USD	Richmond Fed Manufact. Index	Sep	–	4.0
	EUR	Consumer Confidence	Sep P	–	-15.5
WED	EUR	S&P Global Eurozone Manufacturing PMI	Sep P	–	52.7
	EUR	S&P Global Eurozone Services PMI	Sep P	–	51.6
	USD	S&P Global US Manufacturing PMI	Sep P	–	53.9
	USD	S&P Global US Services PMI	Sep P	–	56.5
THU	JPY	S&P Global Japan Manufacturing PMI	Sep P	–	54.9
	JPY	S&P Global Japan Services PMI	Sep P	–	52.5
	CHF	SNB Policy Rate	24-Sep	0.0%	0.0%
	EUR	IFO Business Climate	Sep	–	88.8
	USD	New Home Sales	Aug	615k	607k
FRI/SAT	EUR	GfK Consumer Confidence	Oct	–	-26.6
	USD	Durable Goods Orders	Aug P	-0.3%	1.1%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,770

Technical indicators for key markets as of 17 Sep close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,638	7,507	7,770	19.1	1.2
STOXX 50	6,323	6,172	6,496	14.8	3.2
FTSE 100	10,816	10,628	10,962	12.8	3.5
TOPIX	4,094	3,975	4,205	16.1	2.3
Shanghai Comp	3,876	3,814	3,966	12.7	3.1
Hang Seng	24,604	23,972	25,623	10.3	3.5
Nifty 50	23,271	22,798	24,061	17.4	1.9
MSCI Asia ex-Japan	1,113	1,085	1,156	9.8	2.5
MSCI EM	1,688	1,643	1,751	9.6	3.1
Crude oil (WTI)	101.9	85.4	112.6	na	na
Gold	4,342	4,153	4,614	na	na
UST 10Y Yield	4.93	4.68	5.11	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 17 Sep close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.51
Global Equities	●	↑	1.90
Gold	●	↑	1.76
Equity			
MSCI US	●	↑	1.70
MSCI Europe	●	↑	1.83
MSCI AC AXJ	●	↓	1.60
Fixed Income			
DM Corp Bond	●	↓	1.54
DM High Yield	●	↑	2.00
EM USD	●	↓	1.54
EM Local	●	↓	1.71
Asia USD	●	↓	1.64
Currencies			
EUR/USD	●	↑	1.98

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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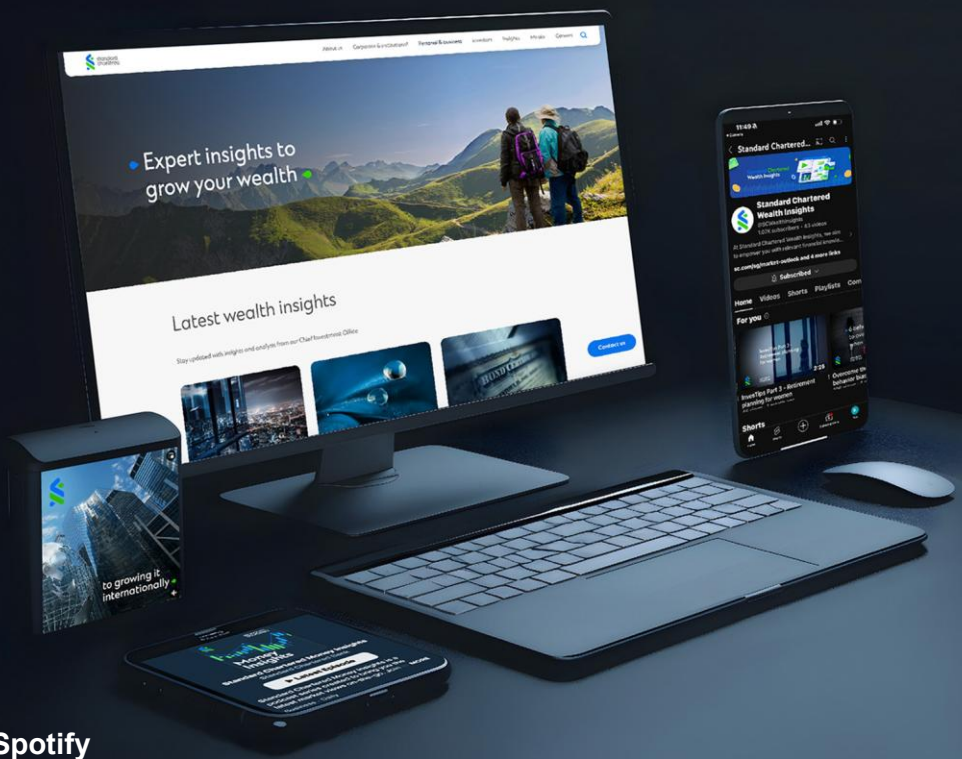
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